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Corporate Information

Maelezo ya Shirika

DIRECTORS

J P M Ndegwa - Chairman
J W Macharia - Managing Director
A J Dodd *
G A Maina
F M Mbiru
F N Mwanzia
A S M Ndegwa
I Ochola-Wilson
M L Somen
* British

AUDIT COMMITTEE

F N Mwanzia - Chairman
F M Mbiru
A S M Ndegwa

ADVANCES CREDIT COMMITTEE

F M Mbiru - Chairman
F N Mwanzia
A S M Ndegwa
M L Somen

NOMINATION COMMITTEE

G A Maina - Chairman
A S M Ndegwa
M L Somen

HUMAN RESOURCES COMMITTEE

I Ochola-Wilson - Chairman
A S M Ndegwa
F M Mbiru

STRATEGY COMMITTEE

A S M Ndegwa - Chairman
G A Maina
M L Somen

SECRETARY

L Murage
NIC House
Masaba Road
P O Box 44599 – 00100 GPO
Nairobi

REGISTERED OFFICE

NIC House
Masaba Road
P O Box 44599 – 00100 GPO
Nairobi

REGISTRARS AND TRANSFER OFFICE

Barclays Advisory and Registrar Services Ltd
1st Floor, Bank House, Moi Avenue
P O Box 30120 – 00100 GPO
Nairobi

AUDITORS

Deloitte & Touche
'Kirungii' Ring Road, Westlands
P O Box 40092 – 00100 GPO
Nairobi

Head office

NIC Hse, Masaba Rd
P.O. Box 44599 – 00100 GPO Nairobi
Tel: 2888000/ 2718200
0722 203885/6/7/ 0734 600008/9
Fax: 2888505/513

PRINCIPAL CORRESPONDENTS

American Express Bank
Citibank N.A
ABSA Bank
Credit Suisse Zurich
NORDEA BANK NORGE ASA

BRANCHES

NIC Hse Branch, Masaba Rd

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 2888000/ 2718200
0722 203885/6/7/ 0734 600008/9
Fax: 2888505/512

City Centre Branch

Prudential Building, Junction of Kaunda
& Wabera Street
P.O. Box 30090 – 00100 GPO Nairobi
Tel: 229251/2/ 341705/6
0720 255977/ 0734 333262
Fax: 251180

Westlands Branch

The Mall
P.O. Box 44599 – 00100 GPO
Tel: 4451721/2/ 4450882
Fax: 4450847

The Junction Branch

Ngong Rd, Dagoretti Corner
P.O. Box 44599 – 00100 GPO
Tel: 3874730/ 3878204
Fax: 3875436

Harbour Hse Branch- Mombasa

Harbour Hse Building, Moi Avenue
P.O. Box 99797 – 80107 Mombasa
Tel: 041 - 2223215/53
0722 209512/ 0734 965397
Fax: 041 - 2223255

SERVICE CENTRES

NIC Hse Building, Masaba Rd

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 2888217/218
0722 203885/6/7/ 0734 600008/9
Fax: 2888523

Hilton Building, City Hall Way

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 210444/589/ 219249
Fax: 2888523

20th Century Plaza, Mama Ngina Street

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 213408/223908
Fax: 2888523

The Mall, Ring Road, Westlands

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 4451719/20/ 4450846
Fax: 4450847

Jeevan Bharat Bldg, Harambee Ave

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 253429/210661/9
0723 786203/ 0736 660011
Fax: 211757

Prestige Plaza, Ngong Road

P.O. Box 44599 – 00100 GPO Nairobi
Tel: 3874073/50/ 3873970
Fax: 2888523

Jubilee Building, Moi Avenue, Mombasa

P.O. Box 99797 – 80107 Mombasa
Tel: 041 2228397/ 2221743/2229399
Fax: 041 2223535

Nyali Nakumatt, Nyali, Mombasa

P.O. Box 99797 – 80107 Mombasa
Tel: 041 5487683/4
0735 339004/ 0721 100873
Fax: 041 5487682

Email: info@nic-bank.com
moveinfo@nic-bank.com

Website: www.nic-bank.com
www.move.co.ke

Members of the Board

Wakurugenzi



James P.M. Ndegwa
Chairman

Mr. Ndegwa, aged 42, holds an MA degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the NIC Board on 19th November 2003.



James W. Macharia
Managing Director

Mr. Macharia, aged 47, has a B. Comm (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various companies within the African Banking Corporation (ABC) Group, in both Zambia and Tanzania. He joined NIC Bank in May 2005 as Managing Director, and was appointed to the NIC Board on 1st May 2005.

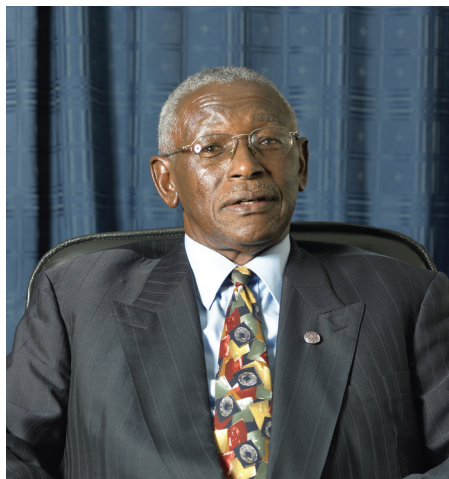


Alan J. Dodd
Executive Director

Mr. Dodd, aged 51, has a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, Middle East and the Far East. He joined NIC Bank in January 2006 as Head of Corporate Banking, and was appointed to the NIC Board on 22nd February 2006.

Members of the Board

Wakurugenzi



Fred M. Mbiru

Non-Executive Director

Mr. Mbiru, aged 68, has a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a Management Consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the NIC Board on 16th February 1993.



I Ochola-Wilson

Non-Executive Director

Mrs. Ocholla-Wilson, aged 56, has a BA degree from Dar-es-Salaam University and an MBA from the University of British Columbia, Canada. She is currently a Business Consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the NIC Board on 5th November 1999.



Francis N. Mwanzia

Non-Executive Director

Mr. Mwanzia, aged 61, has a B. Comm (Hons) degree from the University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller of NAS Airport Services in 1999. He joined the NIC Board on 3rd August 1995.

Members of the Board

Wakurugenzi



Mike L. Somen

Non-Executive Director

Mr. Somen, aged 69, is a Barrister-at-Law, Grays Inn, England, and holds an MA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya, and a Consultant with Hamilton Harrison and Mathews having retired from the firm as Senior Partner in 2002. He joined the NIC Board on 21st February 2001.



Andrew S. M. Ndegwa

Non-Executive Director

Mr. Ndegwa, aged 38, holds a MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23rd April 1997.



George A. Maina

Non-Executive Director

Mr. Maina, aged 54, has a BTech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a Business Consultant and a director of several companies. He has extensive experience in the Oil Industry in Africa, Caribbean and Central America, including being Managing Director of Kenya Shell and BP Kenya Limited from 1998 to 2002. He joined the NIC Board on 1st June 2002.



Livingstone Murage

Company Secretary

Mr. Murage aged 48, has a B. Comm (Hons) degree from the University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Pricewaterhouse and Mobil Oil, before joining the banking sector in 1986. He is Head of Finance and Administration and was appointed Company Secretary on 2nd September 1999.

Chairman's Report

Taarifa ya Mwenyekiti



It is with pleasure that I present this
Report on the performance of NIC
Bank for the twelve months ended 31st
December 2005.

BUSINESS ENVIRONMENT

During 2005, most of Kenya's key economic indicators continued to reflect relative stability supported by the prudent fiscal and monetary policies of the Government. This relative economic stability despite an unsettled political situation provided a conducive environment for economic growth, with the country's GDP growth rate reaching 5% in 2005, up from 4.3% in 2004. The main growth sectors which propelled this positive trend in GDP included building and construction, transport and communications (especially mobile telephony), and tourism.

The year-on-year rate of inflation recorded a significant decline from 14.87% in January, to 7.56% in December 2005, averaging 10.31% for the year. This favourable trend was realized notwithstanding the adverse effects of escalating prices in the global supplies of oil, as well as those for food with the onset of what is expected to be a prolonged drought.

In the foreign exchange market, the Kenya Shilling remained strong against all major hard currencies. The improved streams of hard currency earnings from tourism, and remittances by Kenyans abroad contributed to this strength. However, the continued strength of the local currency has had an adverse impact on export earnings from primary commodities like tea, coffee and horticultural produce.

In tandem with the trend of other economic indicators, the general interest rates remained stable in 2005, with Treasury bill rates averaging 8.26%.

On the capital markets, the NSE Share Index rose to 3,973 in December 2005, up from 2,945 in 2004. Further, turnover at the bourse increased by 65% relative to 2004, with the total value of transactions amounting to Kshs.36.5 billion (2004: Kshs.22.2 billion).

The banking industry remained strong and buoyant in 2005,

with the majority of banks recording an improvement in earnings compared to 2004. With the recent introduction of new prudential guidelines, this sector is expected to remain stable, which, in turn, is considered crucial to the medium to long-term stability of the economy.

BANK'S RESULTS

In 2005 the total assets of the Bank grew by 24% to close the year at Kshs.20.6 billion. Advances to customers, which comprise of 69% of total assets, increased by 22% to reach Kshs.14.1 billion. These increased lendings were principally to fund increased capacity in productive sectors of the economy.

The Bank's expansion of service outlets and marketing activities to broaden the customer base resulted in an impressive growth of 33% in deposits, to close the year at Kshs.16.6 billion.

As a result of the substantial growth in loans and advances and off balance sheet facilities, total interest income increased by 82% to Kshs.1.9 billion and non-interest income by 27% to Kshs.372 million. However, the growth in the deposit base resulted in higher interest expenses compared to the previous year, and operating expenses increased by 22% due to the escalation of costs associated with the expansion of the Bank's network.

For the year, the Bank achieved an overall profit before tax of Kshs.403 million, an increase of 8% over the previous year.

DIVIDEND

The Board of Directors has a consistent dividend policy which ensures that the shareholders receive a significant proportion of profits generated for the year. The continued growth in profitability achieved in 2005 has allowed the Board of Directors to recommend a final dividend of Kshs.1.80 per share (total dividend Kshs.2.50).

The total dividend of Kshs.206 million is the highest ever paid by the Bank and represents 75% of profit after tax.

Chairman's Report

Taarifa ya Mwenyekiti

PRODUCTS AND SERVICES

The initiatives to enhance customer service delivery channels continued in 2005. With the Junction branch which was officially opened on 31st August 2005, the Bank's network now comprises four branches in Nairobi and one in Mombasa, eight MOVE Zones and nineteen ATMs. Our partnership with Pesa-Point has also given our customers access to over eighty ATMs that are spread throughout the country.

During 2005, the Bank launched the MOVE Flexi Debit Card and the MOVE Freedom Credit Card. Both cards are VISA branded and therefore our customers can now access their accounts anywhere in the world.

RECOGNITION

In 2005, the Bank received two of the Financial Reporting awards for Excellence (FIRE AWARDS), jointly presented by the Institute of Certified Public Accountants of Kenya, the Capital Markets Authority and the Nairobi Stock Exchange. These were First Runner-Up, under the Banking Category; and First Runner-Up under Corporate Citizenship.

The Bank also continued to obtain good international ratings from Fitch and Global Credit Rating agencies.

SOCIAL RESPONSIBILITY

The Bank recognizes its responsibility to the wider community, and has continued to provide material support by way of food, healthcare, education and conservation of the environment. In 2005, the Bank provided financial support to, amongst others, Starehe Girls Centre, the Junior Achievement Mentorship Programme, the Operation Smile initiative for children with cleft lip and palette disabilities, the Trachoma Alleviation Campaign by AMREF and the Rhino Ark Charitable Trust.

In January 2006, the Bank donated 3.5 tonnes of food towards famine relief, and during the year will continue to identify and support needy cases in the society.

FUTURE OUTLOOK

During 2005, the Bank carried out a comprehensive review of its business and support functions, with a view to enhancing business development, product offering and service delivery. In this regard, a restructuring and revitalization of the respective human resource base has been carried out, and the Bank is now even better placed to realize its medium to long term strategic objectives. These objectives include strengthening the Bank's continued and historic market leadership in asset finance, a sustained product innovation capability especially under the retail/ personal and corporate banking segments (including

the introduction of even more comprehensive electronic banking solutions) and the opening of additional branches whilst at the same time enhancing the services available at the MOVE Zones. The realization of these objectives will, in turn, ensure that the Bank further strengthens its position in Kenya's banking sector.

For 2006, we must anticipate a challenging economic environment not least on account of the direct and indirect consequences of the serious drought the country is facing. Within our industry, competition will remain sharp both in the acquisition of assets and that of deposits. These challenges notwithstanding, the Bank remains focused on consolidating its success, adhering to the highest standards of business practice and pursuing initiatives that will lead to a further improvement in return on capital, and the overall shareholder value.

BOARD OF DIRECTORS

Steve Caley retired as Executive Director in November 2005 having worked for the Bank for three and half years, and was replaced by Alan Dodd who joined the Board in February 2006. We thank Mr. Caley for his service to the Bank and welcome Mr. Dodd who brings with him a wealth of regional and international banking experience acquired over a period of 27 years in East and Southern Africa, Middle East, and the Far East.

APPRECIATION

The good performance of the Bank in 2005 is the result of the input of our many stakeholders.

I wish to thank all our customers for their continued and enhanced support during the year. We also greatly appreciate the co-operation availed to the Bank by our other business partners, including the regulatory authorities of the Central Bank of Kenya and the Capital Markets Authority.

I must recognize the commitment and hard work of the Management and Staff in achieving the good results for the year and thank them for the same. I am also most grateful to my fellow directors for their diligence, guidance and support at both Board and Committee levels.

The Board, Management and Staff highly appreciate the loyalty and confidence of our over 17,000 shareholders. We are fully conscious of the trust placed in us and are determined to remain worthy of the same.

Thank you.

J.P.M. NDEGWA

CHAIRMAN

Chairman's Report

Taarifa ya Mwenyekiti

Ninayo furaha kuwaleteeni ripoti hili la kila mwaka la matokeo na shughuli za Benki ya NIC katika mwaka uliomalizikia desemba 31, 2005.

MAZINGIRA YA KIBIASHARA

Katika mwaka 2005, alama zote kuu za kiuchumi zilionyesha kuimarika kwa uchumi wa Kenya kutokana na mwongozo mzuri wa sera muafaka wa serikali kuhusu rasilmali na pesa. Ustadi huu ulioimarika uliwezesha uchumi kukua, ingawa hali ya kisiasa ilikuwa ya wasiwasi. Uchumi ulikua kutoka asilimia 4.3% mwaka 2004 hadi 5% mwaka 2005. Sekta zilizoendeleza ukuaji huu ni pamoja na ujenzi, usafiri na mawasiliano (hasa simu za mkononi) na utalii.

Ongezeko la gharama ya maisha mwaka kwa mwaka lilishuka kwa kiwango kikubwa kutoka asilimia 14.87% katika mwezi wa Januari hadi asilimia 7.56 katika mwezi Desemba 2005, wastani wa asilimia 10.31% kwa mwaka huo. Hali hii ya kuridhisha iliweza kufikiwa licha ya athari mbaya za ongezeko la bei ya mafuta katika masoko ya ulimwengu pamoja na ya vyakula huku ikihofiwa ukame.

Katika soko la ubadilishanaji wa pesa za kigeni, shilingi ya kenya iliendelea kuwa na nguvu dhidi ya sarafu zote kuu ulimwenguni. Kuongezeka kwa mapato kutoka katika sekta ya utalii na kwa Wakenya wafanyao kazi nje kulichangia kwa nguvu hii. Hata hivyo, kuimarika kwa shilingi yetu kumeathiri vibaya mapato ya bidhaa zinazouzwa ng'ambo kama vile chai, kahawa, maua, mboga na kadhalika.

Kulingana na alama hizi za kiuchumi, riba ya Hati za Benki Kuu ya Kenya (Treasury Bills) ilibakia kuwa kwa wastani wa 8.26% katika mwaka 2005.

Katika Masoko Makuu, kiwango cha soko la hisa (NSE-Share Index) kilipanda hadi alama 3973 katika Desemba 2005, kutoka 2945 mwaka uliotangulia. Licha ya hayo, uzalishaji wake uliongezeka kwa asilimia 65% kufikia shilingi 36.5 bilioni ikilinganishwa na mwaka 2004, ambapo mapato yalikuwa shilingi 22.2 bilioni.

Sekta ya benki iliendelea kuimarika mnamo mwaka 2005, huku nyingi za benki zikijiongezea faida ikilinganishwa na mwaka 2004. Kutokana na kutangazwa kwa taratibu mpya za uendeshaji wa benki, sekta hii inatarajiwa kubakia imara na hatimaye kuendelea kuwa nguzo imara ya uchumi wetu.

MATOKEO YA BENKI

Katika mwaka 2005 rasilmali ya benki ilikua kwa asilimia 24% na kufikia mwisho wa mwaka ilikuwa imefikia

shilingi 20.6 bilioni. Mikopo kwa wateja, iliyochangia asilimia 69% kwa rasilmali, iliongezeka kwa kiasi cha asilimia 22% hadi shilingi 14.1 billioni. Mingi ya mikopo hizi iliendea sekta za uzalishaji mali za uchumi wetu.

Kupanuka kwa huduma za benki na shughuli za mauzo kuimarisha matokeo bora kwa wateja kulikua kwa asilimia 33% hadi sh16.6 bilioni kufikia mwisho wa mwaka.

Kufuatia ukuaji huu mkubwa wa mikopo na wateja, jumla ya ongezeko la mapato ya riba yalifikia asilimia 82% kiasi cha sh1.9 na mapato yasiyo ya riba yakaongezeka kwa asilimia 27% kiasi cha sh372 milioni. Ingawa hivyo, ongezeko la akiba za wateja lilisababisha gharama ya juu ya riba kutokana na upanuzi wa huduma za benki nchini ambao uliongezeka kwa asilimia 22%.

Katika kipindi cha mwaka 2005, Benki ilijipatia faida ya Sh403 milioni kabla ya kutoa ushuru, ongezeko la asilimia 8% kutoka 2004.

MGAWO

Halmashauri ya Wakurugenzi inayo sera ya kuhakikisha kwamba wanahisa wanapewa sehemu kubwa ya faida inayopatikana kutokana na shughuli za benki katika mwaka. Ukuaji wa faida ya benki ambao umekuwa ukiendelea na faida iliyopatikana katika mwaka 2005 imeiwezesha Halmashauri ya Wakurugenzi kupendekeza mgawo wa mwisho wa Sh1.80 kwa kila hisa (jumla ya mgawo ni shilingi 2.50).

Jumla ya mgawo wa Sh206 milioni ni kiasi kikubwa sana ambacho kimewahi kulipwa na benki hii na ni asilimia 75 ya faida baada ya ushuru.

BIDHAA NA HUDUMA

Juhudi za kuboresha huduma kwa wateja ziliendelea kwa mwaka 2005. Kufunguliwa rasmi kwa Tawi la Junction mnamo Agosti 31, 2005 kulifanya Jiji la Nairobi sasa kuwa na matawi manne, moja Mombasa, MOVE Zones nane na mashine 19 za kompyuta za kuweka na kutoa pesa za ATM. Ushirikiano wetu na Pesa-Point umewapa wateja wetu uwezo wa kutumia mitambo 80 za ATM zilizosambazwa kote nchini.

Katika kipindi cha 2005, benki ilianzisha kadi za MOVE Flexi Debit na MOVE Freedom Credit Card. Kadi zote mbili ni za VISA na hivyo zinawezesha wateja wetu kuzifikia akaunti zao kokote ulimwenguni.

Chairman's Report

Taarifa ya Mwenyekiti

KUTAMBULIWA

Benki ilipokea Ripoti ya zawadi mbili za ubora (FIRE AWARDS), zilizowasilishwa kwa pamoja na Taasisi ya Uhasibu Kenya, Mamlaka ya Masoko Makuu na Soko la Hisa la Nairobi. Tulinyakua nafasi ya pili katika sekta ya Benki na pia katika kikundi cha uraia wema.

Benki pia iliendelea kutunukiwa heshima kuu ya kimataifa kutoka mashirika ya ukadiriaji viwango ya Fitch na Global Credit Rating.

HUDUMA ZA KIJAMII

Benki inatambua majukumu yake kwa jamii kwa ujumla na imekuwa ikitoa misaada kama vyakula, huduma za matibabu, elimu na utunzaji wa mazingira. Katika mwaka 2005, Benki hii iliutoa msaada wa kifedha kwa Starehe Girls Centre, Mradi wa Junior Achievement Mentorship, Operation Smile, Kampeni ya kupambana na maradhi ya macho ya AMREF na Wakfu wa kulinda maangamizi ya Vifarua wa Rhino Ark.

Mnamo Januari 2006, Benki ilitoa tani 3.5 za chakula kwa waliokumbwa na janga la njaa na inatarajiwa kwamba tutaendelea kuwasaidia wenye shida katika jamii.

MATAZAMIO YA SIKU ZA USONI

Katika mwaka 2005, Benki iliangalia upya shughuli zake za biashara na misaada inayotoa. Lengo limekuwa ni kuimarisha biashara, utoaji wa bidhaa na huduma. Kuhusiana na haya, kumekuwa na mpango mpya wa watumishi wa Benki waliohamisishwa na watakaoiwezesha kufikia malengo yake ya muda mrefu. Malengo yenyewe ni pamoja na kuendelea kuimarisha uongozi wa tangu jadi katika sekta ya raslimali ya fedha, kubuni na kuzalisha bidhaa hasa katika huduma za benki za rejareja / binafsi (pamoja na kuanzishwa kwa huduma zaidi za kielektroniki za benki) na kuanzishwa kwa matawi, bila kusahau kuimarisha zaidi huduma za MOVE zilizo nyanjani. Kufaulu kwa haya malengo kutaiwezesha benki kuiendeleza zaidi nafasi yake nzuri katika sekta ya benki nchini.

Kwa Mwaka huu, sharti tutarajie changamoto nyingi za kiuchumi, si tu moja kwa moja kutokana na athari za ukame wa muda mrefu ambao umeikumba nchi yetu bali pia mazingira ya kiuchumi. Katika sekta yetu, ushindani utaendelea kuwepo katika upataji wa raslimali na pia akiba za wateja. Changamoto hizi hazitutishi kwani benki yetu itabakia imara katika ufanisi wake, ikizingatia viwango vya juu vya kibiashara, kutafuta juhudi za kuimarisha zaidi mtaji na thamani ya wenye hisa.

HALMASHAURI YA WAKURUGENZI

Steve Caley aliyekuwa Mkurugenzi Mtendaji alistaafu mnamo Novemba 2005 baada ya kuifanyia Benki kazi kwa miaka mitatu unusu. Mahali pake palichukuliwa na Alan Dodd ambaye alijiunga na Halmashauri Februari 2006. Tunamshukuru Bw Caley kwa huduma Zake kwa Benki hii na kumkaribisha Bw Dodd ambaye anatuletea tajriba ya hapa na kimataifa ya huduma za benki aliyojipatia katika kipindi cha zaidi ya miaka 27 kazini Afrika Mashariki, Kusini mwa Afrika, Mashariki ya Kati na Mashariki ya Mbali.

SHUKRANI

Ufanisi wa Benki katika mwaka 2005 unatokana na mchango wa washikadau wengi.

Ningependa kuwashukuru wateja wetu wote kwa kuendelea kuwa nasi na kuboresha ushirikiano wetu mwaka huu. Pia tunawashukuru sana washirika wetu katika biashara ya benki wakiwemo wenye mamlaka ya kusawazisha masuala ya benki wa Benki Kuu ya Kenya na Mamlaka ya Masoko Makuu.

Ningependa kuzitambua juhudi za Usimamizi na Wafanyi kazi katika kufikia matokeo haya mazuri ya mwaka huu na kuwashukuru sana. Ningependa pia kuwashukuru wakurugenzi wenzangu kwa makini yao katika kazi, ushauri na ushirikiano katika ngazi za Halmashauri na kamati.

Halmashauri, usimamizi na wafanyi kazi wanatoa shukrani zao kwa washikadau zaidi ya elfu kumi na saba. Twajua wazi imani waliyo nayo kwetu na twataraji kuwa tutaendelea kuwa wa kuaminika hivyo hivyo.

Shukrani.

J.P.M. NDEGWA

MWENYEKITI

Corporate Governance

Mwongozo na Ushirikiano wa Umoja wa Kampuni

Corporate Governance

The Board of Directors supports best practice in corporate governance and has adhered to the guidelines on corporate governance practices developed by the Centre for Corporate Governance, Kenya (CCG), the Capital Markets Authority for publicly listed companies in Kenya and the Central Bank of Kenya for the banking industry. The focus is on ensuring compliance with all aspects of corporate governance and that implementation matches the needs of the business.

Corporate governance is the process and structure used to direct and manage business affairs of the company towards enhancing prosperity and corporate accounting, with the ultimate objective of realizing shareholders' long-term value while taking into account the interest of other stakeholders.

Board of Directors

The Board consists of a Chairman, J.P.M. Ndegwa, seven non-executive directors and two executive directors. The directors' biographies appear on page 3 - 5.

All the non-executive directors are considered by the Board to be independent of management and have a diverse range of expertise and experience.

The roles of the Chairman and Managing Director are separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Managing Director is responsible to the Board and takes responsibility for the effective and efficient management of the Bank.

All the directors are required to submit themselves for re-election at least every three years. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors are set out on page 35. Non-executive directors fees consist of a retainer and an attendance fee for board and committee meeting.

Business transactions with the directors or their related parties are carried out at arms length and all such transactions are disclosed on page 52.

Responsibilities

The board is responsible for setting the direction of the Bank and to safeguard/enhance the interests of all shareholders in accordance with the Bank's Memorandum and Articles of Association. It meets quarterly to consider key issues such as compliance with statutory and regulatory requirements, review of monthly financial results and approval of quarterly publication of financial statements and any matters which would have a material effect on the Bank's financial position, future strategy or reputation.

To enable the Board to function effectively and allow directors to discharge their responsibilities, full and timely access is given to all relevant information. In the case of board meetings, this consists of a comprehensive set of papers, including regular business progress reports and discussion documents regarding specific matters.

Conflicts of Interest

The directors of the Bank are under a fiduciary duty to act honestly and in the best interests of the Bank. The Board has adopted a policy to ensure that no situation should arise where a director's personal interests might conflict with their duty to the Bank.

Committees of the Board

The Bank has in place an approval framework which requires explicit Board approval on matters relating to adoption of strategy, appointment of key senior staff, approval of financial reports for publication, approval of budget and financial policies, review of operating results, and significant capital expenditure.

The Bank's Board has constituted several committees to assist in discharging its responsibilities and obligations. However, the Board is cognizant that this does not detract from its ultimate accountability for the performance and governance of the Company. The committees of the Board consist of non-executive

directors and they report regularly to the Board on their activities. Executive management and outsourced service providers and experts may attend committee meetings by invitation as circumstances dictate.

The main committees of the Board are: Audit, Human Resources, Nomination, Strategy and Advances Credit Committees and details on each of these are set out below. [Other ad hoc committees are established as and when the need arises.

• Audit Committee

This committee is chaired by a non-executive director, F. N. Mwanzia, and comprises of two other non-executive directors. The Managing Director and Internal Auditor are in attendance by invitation. Other Heads of Departments are invited as and when required. The Bank's external auditors may be invited from time to time.

The committee meets quarterly to review all areas of risk to the Bank and to consider the reports on the various divisions and departments which are audited according to the internal audit programme. The committee also ensures that appropriate action has been taken on the recommendations of the internal auditors.

• Human Resources Committee

This committee comprises three non-Executive Directors and is chaired by Mrs. Isabella Ochola-Wilson. The Managing Director, the Executive Director, Head of Human Resources and the Head of Finance attend by invitation.

The committee's main responsibility is to ensure that the Bank's Human Resource policies are in line with the best market practice. It may seek external professional advice if deemed necessary in order to carry out its responsibilities.

• Nomination Committee

This committee meets on an ad hoc basis and is made up of three non-executive directors, chaired by G.A Maina.

The committee's role is to make recommendations to the Board to fill vacancies for executive and non-executive directors. The Board as a

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whole approves the appointment and removal of directors. In making recommendations the committee looks at the mix of skills, expertise and how the new appointment will add value to the present complement.

• Strategy Committee

This committee is made up of three non-executive directors and is chaired by A.S.M. Ndegwa. The Managing Director, the Executive Director and Head of Finance are in attendance by invitation. The committee's key responsibility is to deliberate and advise the Board on the development and implementation of the Bank's corporate strategy.

• Advances Credit Committee

This committee is made up of three non-executive directors chaired by F. M. Mbiru and meets at least once a month to consider and approve new credit applications and renewal of existing facilities within limits set by the Board. The Managing Director, the Executive Director, the Head of Risk and the Head of Finance are in attendance by invitation. Other senior managers are invited to attend as and when required.

• Executive Committees

The Managing Director has established committees to oversee specific aspects of the Bank's business and operations. These committees are chaired by the Managing Director and include the respective Heads of Department, and other members who may be co-opted from time to time.

These committees include:

- * The Executive Committee (EXCOM) meets on a monthly basis to review policy changes and monitor progress of projects under implementation. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines as well as adherence to company policy and procedures.

- * The Management Committee (MANCOM) meets every week to review the regular operational issues of the Bank.

- * The Assets and Liabilities Management Committee (ALCO) meets every month with the core responsibility of monitoring and

management of the assets and liabilities of the Bank. This includes management of operational risks, interest rate and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure and investment policies.

- * The Information Technology Steering Committee meets quarterly to review and monitor systems integrity, IT enhancements and progress of ongoing IT projects.

- * The Risk Management Committee meets weekly to approve new credit applications and renewals within the delegated limits set by the Board. The performance of the advances and provision requirements are reviewed monthly by this committee, and it also regularly makes recommendations to the Board Advances Credit Committee on revision of limits.

Relationship with Shareholders

The Company publishes audited annual accounts which are sent out to all the shareholders.

All shareholders are entitled to attend the Annual General Meeting and receive a Notice of Meeting, which is posted at least 21 clear days before the Annual General Meeting.

Shareholders also have direct access to the Company or the Company's registrars, Barclays Advisory and Registrars Services and the Bank regularly responds to numerous letters from shareholders on a wide range of issues.

The Bank's results are published in the daily newspapers every quarter in line with the Central Bank of Kenya requirements. Latest results are always available on the website, www.nic-bank.com.

All shareholders have the opportunity to ask questions on any matter relating to the Bank at the Annual General Meeting and to meet directors informally after the meeting.

Internal Control

The directors acknowledge their responsibility as set out on page 20 for the Bank's system of internal financial control, including taking reasonable steps to ensure that

the systems are being maintained. Internal control systems are designed to meet the particular needs of the Bank, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, such a system can only provide reasonable, but not absolute assurance against material misstatement.

Risk Management

The Bank has identified risks that are inherent to the business, and have developed and implemented policies and guidelines to manage and mitigate such risks. These include strategic risk, industry exposure, credit risk, liquidity risk, interest rate risk, foreign exchange risk and operational risk guidelines. These policies are in line with regulatory guidelines issued by the Central Bank of Kenya as part of enforcement of banking industry compliance with Basel II Accord.

In order to facilitate the monitoring, and therefore compliance with the above policies, the Bank has put in place comprehensive management information systems that identify adverse changes in the risk profiles.

Directors' Shareholding

No director holds shares in his individual capacity that is more than 1% of the Company's total equity.

Remuneration Policy

The Management endeavors to review and approve competitive remuneration packages which are designed to attract, retain and motivate staff of the highest calibre. Salary packages are reviewed annually to ensure that they stay in line with the market rates as well as the Bank's business objectives.

The policy provides for Non executive-directors to be paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the Company's bonus schemes.

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SHARE HOLDING

The number of shareholders as at 6 April 2006 was 17,646 (2004-18,049).

A. Principal Shareholders

The top 10 major shareholders, based on the bank's share register as at 6th April 2006 were as follows:-

Name	No. of Shares	%
First Chartered Securities Ltd	13,068,491	15.86
ICEA Investment Services Ltd	7,469,278	9.07
Livingstone Registrars Ltd	6,445,053	7.82
Rivel Kenya Ltd	6,129,239	7.44
Duncan Nderitu Ndegwa	3,654,132	4.43
Saimar Ltd	2,614,467	3.17
Amwa Holdings Ltd	1,568,021	1.90
Thuthuma Ltd	1,044,443	1.26
Makimwa Consultants Ltd	1,000,000	1.21
Barclays (Kenya) Nominees Ltd	858,060	1.04
Total	43,851,184	53.20

B. Distribution Schedule

Category	No of Shareholders	No of Shares	%
1-500 shares	10,688	3,514,287	4.3
501-5,000 shares	6,080	8,593,509	10.4
5,001-10,000 shares	373	2,711,578	3.3
10,001-100,000 shares	454	12,783,372	15.5
100,001-1,000,000 shares	43	12,818,681	15.6
1,000,001 and over	8	41,993,124	50.9
Total	17,646	82,414,551	100.00

C. Shareholders Profile

Category	No of Shareholders	No of Shares	%
Kenyan individual investors	16,813	25,800,090	31.30
Kenyan institutional investors	794	55,923,465	67.86
East African individual investors	4	46,180	0.06
East African institutional investors	1	2,500	0
Foreign individual investors	29	183,320	0.22
Foreign institutional investors	5	458,996	0.56
Total	17,646	82,414,551	100.00

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Usimamizi na Mwongozo wa Kampuni

Halmashaurii ya Wakurugenzi inaunga mkono utaratibu wa maongozi yanayofaa na imefuata utaratibu uliopendekezwa na kituo cha usimamizi wa mashirika ya umma nchini Kenya (Centre for Corporate Governance Kenya -CCG), Halmashauri ya Masoko nchini (Capital Markets Authority), kituo cha uongozi wa mashirika yaliyosajiliwa kwenye soko la Hisa na Benki Kuu ya Kenya kwa biashara ya benki. Lengo kuu ni kuhakikisha kwamba masuala yote yanayoambatana na uongozi wa kampuni yanaambatana na malengo ya biashara.

Usimamizi dhidi wa kampuni ni mpango unaotumiwa kusimamia shughuli za kampuni ili kuhakikisha kwamba matakwa ya wawekezaji pamoja na ndoo ya kupata faida pamoja na watu wengine wenye shughuli fulani katika kampuni yanatimizwa.

Halmashauri ya Wakurugenzi

Wanachama wa Halmashauri hii ni Mwenyekiti, Bw J.P.M. Ndegwa, wakurugenzi wa kawaida wasaba pamoja na wakurugenzi watendaji wawili. Habari kuwahuu wakurugenzi inatapatikana katika kurasa za 3 - 5.

Halmashauri inawachukulia wakurugenzi wote wa kawaida kuwa huru na usimamizi wa Benki na wana viwango fulani vya utaalamu wa kazi za benki hii.

Majukumu ya mwenyekiti na Mkurugenzi Mkuu ni tofauti. Mwenyekiti hutoa mwongozo kwa Halmashauri huku akizingatia jukumu na uamuzi wa Halmashauri. Mkurugenzi Mkuu analo jukumu kwa Bodi na anahusika katika usimamizi bora wa Benki.

Wakurugenzi wote wanatarajiwa kujiwasilisha kuchaguliwa tena kila baada ya miaka mitatu. Kila mkurugenzi ambaye atateuliwa mwakani atatakiwa kustaafu na baadaye kusimama uchaguzini tena wakati wa Mkutano Mkuu wa kila mwaka ufuatao.

Maelezo kuhusu malipo ya wakurugenzi wa kawaida na marupurupu ya wakurugenzi watendaji yanapatika katika ukurasa wa 35. Malipo ya wakurugenzi wa kawaida ni pamoja na pesa za kuwaweka pamoja na malipo wanayopokea kila wanapohudhuria mikutano ya Halmashauri na Kamati.

Biashara zote kati ya wakurugenzi au wahusika wa karibu zinatelezwa kibiashara na shughuli hizo zimefafanuliwa waziwazi katika ukurasa wa 52.

Majukumu

Ni jukumu la Halmashauri kutoa mwelekeo wa Benki na kulinda matakwa ya wawekezaji jinsi ilivyo katika mkataba wa maafikiano.

Halmashauri hukutana mara nne kila mwaka - kila baada ya miezi mitatu - kujadili maswala muhimu kama vile kufuatwa kwa masharti yaliyowekwa, kukagua matokeo ya kila mwezi ya biashara za benki, kupitisha uchapishaji wa taarifa ya matumizi ya fedha ya miezi mitatu na pia kujadili mambo mengine muhimu ambayo yanaweza kuathiri kampuni, faida ya kampuni, malengo yake ya siku za usoni na sifa ya kampuni.

Kuiwezesha Halmashauri kuutimiza wajibu wake kwa njia muafaka na kuiwezesha kuwasaidia wakurugenzi wake kutimiza wajibu wao, habari muhimu na zinazofaa zinatolewa kwa wakati wote. Kwa mfano, wakati wa mikutano ya Halmashauri, habari hizo zinahusu maandishi maalum ambayo yanakuwa pamoja na taarifa kamili ya ufanisi wa kampuni na maandishi mengine kuhusu mambo tofauti yanayohusu kampuni.

Kuhitilafiana kwa matakwa

Wakurugenzi wanalo jukumu la kuitumikia benki kwa uaminifu. Halmashauri imebuni sera ya kuhakikisha kwamba matakwa ya mtu binafsi haya pingani na yale ya Benki.

Kamati za Halmashauri

Benki imeupitisha mwongozo ambao unahitaji Halmashauri kuidhinisha mipango, kuwajiri wafanya kazi wapya wa vyeo vikuu, kuidhinisha ripoti ya hesabu ili kuchapishwa, kuidhinisha bajeti na masuala ya kifedha na kuyachunguza matokeo pamoja na matumizi ya pesa.

Ili kuhakikisha kwamba majukumu yanatelekezwa vyema Halmashauri imeziunda kamati kadha. Hata hivyo, Halmashauri inafahamu hii haitaizulia kutekelezwa kwa wajibu bora kwa kampuni. Kamati zinasimamiwa na wakurugenzi wa kawaida ambao hupiga ripoti mara kwa mara kwa Halmashauri kuhusu majukumu wanayotekeleza. Wasimamizi wa juu

wa Kamati pamoja na watu wanaotoa huduma ikiwa ni pamoja na wataalamu wanaweza wakahudhuria mkutano kwa mwiliko.

Kamati muhimu za Halmashauri ni: Kamati ya Ukaguzi wa hesabu, kamati ya kushugulikia maswala ya wafanya kazi na uajiri, kamati ya uteuzi na ile ya utoaji wa mikopo. Maelezo zaidi kuhusu kamati hizi yanasimuliwa chini (Kamati nyingine muhimu hubuniwa iwapo zitahijika)

• Kamati ya Ukaguzi wa Hesabu

Kamati hii inaongozwa na Mkurugenzi wa Kawaida, Bw F N Mwanzia, na ina wakurugenzi wengine wawili wa kawaida. Mkurugenzi Mkuu na Mkaguzi wa Hesabu wa kampuni huhudhuria mikutano ya kamati kila wanapoalikwa. Wasimamizi wa idara nyingine hualikwa na kuhudhuria kila inapohitajika. Wakaguzi wa Hesabu za kampuni wa nje pia huhudhuria mara kwa mara wakialikwa.

Kamati hii hukutana mara nne kila mwaka ili kushugulikia sehemu zote ambazo zinaweza kuhatarisha biashara ya benki na pia kukagua hesabu za idara tofauti. Pia huhakikisha kuwa mapendekezo yaliyotolewa na wakaguzi wa hesabu za benki wa ndani yametimizwa.

Kamati ya Usimamizi wa Wafanyikazi na Uajiri

Kamati hii inawajumuisha wakurugenzi watatu wa kawaida na mwenyekiti wake ni Bi Isabella Ochola-Wilson. Mkurugenzi Mkuu, Mkurugenzi mtendaji, Mkuu wa Maswala ya wafanya kazi na Mkuu wa Maswala ya kifedha huhudhuria kwa mwiliko.

Jukumu la kamati hii ni kuhakikisha kuwa sera za benki kuhusu wafanyikazi zinaambatana na viwango vilivyo bora zaidi.

Kamati hii inaweza kutafuta ushauri wa nje iwapo itahitajika kufanya hivyo kwa lengo la kuyatenda majukumu yake ipasavyo.

• Kamati ya Uteuzi

Kamati hii hukutana wakati inavyoona kuna haja na inajumuisha wakurugenzi watatu wa kawaida chini ya uenyekiti wa G.A. Maina.

Wajibu wake ni kutoa mapendekezo kwa Halmashauri kuhusu uteuzi wa wakurugenzi watendaji na wakurugenzi

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wa kawaida.

Katika kufanya hivi, kamati hii inayachunguza maswala ya utaalumu, ujuzi na taaluma ambazo wenye kuteuliwa watailetea kampuni.

• Kamati ya Mipango

Kamati hii inawajumuisha wakurugenzi wa kawaida watatu chini ya uenyekiti wa A.S.M Ndegwa. Mkurugenzi Mkuu, Mkurugenzi mtendaji na msimamizi wa idara ya Fedha huhudhuria kwa mwaliko. Jukumu kuu la kamati hii ni kuchunguza na kushauri Halmashauri kuhusu maendeleo na mipango ya Benki na jinsi ya kuitekeleza.

• Kamati ya Kutoa Mikopo

Kamati hii inawajumuisha wakurugenzi watatu wa kawaida chini ya uenyekiti wa F.M Mburu. Hukutana mara moja kwa mwezi ili kushughulikia na kuidhinisha maombi ya mikopo na pia kufufua mali na bidhaa kwa masharti yaliyowekwa na Halmashauri. Mkurugenzi mkuu, Mkurugenzi mtendaji, Msimamizi wa Mikasa na Msimamizi wa Fedha huhudhuria kwa mwaliko. Mameneja wengine wakuu hualikwa na kuhudhuria kila inapohitajika kufanya hivyo.

• Kamati za utendaji

Mkurugenzi Mkuu ameziunda kamati kusaidia katika shughuli tofauti za Benki na kushughulikia jinsi mambo yanavyoendeshwa. Kamati hizi zipo chini ya uenyekiti wa Mkurugenzi Mkuu na zinawajumuisha wasimamizi wa idara tofauti pamoja na wanachama ambao wanaweza kujiunga wanapohitajika.

• Kamati hizi ni pamoja na:

* Kamati Kuu (EXCOM). Kamati hii hukutana kila mwezi kushughulikia sera za mabadiliko na pia kuchunguza maendeleo ya miradi iliyo chini yake. Pia, kamati hii inahusika na jukumu la kuhakikisha kwamba mipango na sera za kampuni zinazingatiwa.

* Kamati ya Usimamizi (MANCOM). Kamati hii hukutana kila wiki kuchunguza jinsi shughuli za kawaida zinavyoendeshwa kwenye Benki.

* Kamati ya usimamizi wa Mali na Madeni (ALCO): Kamati hii hukutana kila mwezi kwa lengo la kutathmini na kusimamia mali na madeni ya Benki. Hii inajumuisha kusimamia biashara inayoweza kuleta hasara, masuala ya

pesa na sera kuhusu pesa za kigeni na jinsi ya kuwekeza.

* Kamati ya mwongozo wa teknolojia na usimamizi: Kamati hii hukutana kila baada ya miezi mitatu kujadili na kuyachunguza masuala kuhusu teknolojia na jinsi miradi ya teknolojia inavyoendelea.

* Kamati ya usimamizi dhidi ya Hasara: Kamati hii hukutana kila wiki kuidhinisha maombi ya mikopo na pia kuitoa kulingana na kiwango kilichotengwa na Halmashauri. Kamati hii pia huchunguza kwa undani jinsi mikopo inavyowasaidia wenye kuichukua na baadaye kutoa ripoti kwa kamati ya kutoa pesa.

Uhusiano na Wenye Hisa

Kampuni huchapisha taarifa ya hesabu za kila mwaka zikiwa zimekaguliwa na wakaguzi wa hesabu na kutumwa kwa wenye hisa.

Wenye hisa wa kampuni wana haki ya kuhudhuria Mikutano Mikuu wa kila mwaka kwa mwaliko wa siku 21 kabla ya siku ya mkutano.

Wenye hisa wanaweza wakaifikia kwa urahisi kampuni, au msajili wa kampuni Barclays Advisory and Registrar Services. Benki hushughulikia kwa kujibu haraka barua za wenye hisa kuhusu masuala kadha wa kadha kila wakati.

Matokeo ya biashara za Benki huchapishwa magazetini kila baada ya miezi mitatu kulingana na maagizo ya Benki Kuu ya Kenya. Pia matokeo ya mwisho hupatikana kwenye mtandao wetu, www.nicbank.com. wakati wote.

Wenye hisa wote wanayo fursa ya kuyauliza maswali yoyote yanayohusu benki hii wakati wa Mkutano Mkuu wa kila mwaka. pia wenye hisa hukutana na wakurugenzi wa kampuni baada ya mkutano wa kila mwaka na kuwa na majadiliano.

Usimamizi wa Ndani wa Benki

Wakurugenzi wanaelewa wajibu wao kama ilivyoelezewa katika ukurasa 20 kuambatana na utaratibu wa ukaguzi wa hesabu wa benki hii na pia kuchukua hatua muafaka kuhakikisha kuwa sekta zote za benki ziko imara. Hatua za usimamizi wa ndani zimeundwa kuambatana na mahitaji ya benki na madhara ambayo huenda yakatokea

na utaratibu ambao unanuiwa kuipa benki usimamizi muafaka wa kifedha. Hata hivyo, utaratibu huu hauwezi kamwe kuhakikisha kutokuwepo na madhara yoyote ya kibiashara.

Usimamizi wa kuzuia hasara

Benki imezigundua njia ambazo zinaweza zikasababisha hasara kwenye biashara yake na imeweka sera na miongozo ya usimamizi ili kuzuia hasara kama hizo. Hii ni pamoja na hasara kutoka na mipangilio, ukosefu wa pesa taslimu, hasara ya mazao ya fedha ya mikopo, hasara zainazotokana na kubadilisha pesa za kigeni, kutoa mkopo, hasara kutokana na uendesha biashara. Sera hizi ni kulingana na miongozo iliyowekwa na Benki Kuu ya Kenya kama njia moja ya kuhakikisha kwamba masharti ya sekta ya benki (BASEL II Accord) yanazingatiwa. Kwa uchunguzi na utimizaji wa masharti haya, benki imeuweka utaratibu wa kutosha wa kugundua mabadiliko yoyote katika hali ya madhara haya.

Wakurugenzi Wenye Hisa

Hakuna mkurugenzi ambaye kibinafsi anamiliki zaidi ya asilimia 1 ya hisa zote za benki.

Sera za Malipo

Halmashauri huchunguza na kutoa malipo mazuri ambayo yananiwa kuwavutia, kuwapa motisha na pia kuhakikisha kuwa benki hii ina wafanyikazi wa kiwango cha juu. Mishahara yao huchunguzwa upya kila mwaka ili kuhakikisha kuwa inaandamana na malipo ya benki nyingine na pia malengo ya biashara za benki.

Wakurugenzi wa kawaida hulipwa malipo kila mwezi pamoja na marupurupu kila wanapohudhuria mkutano wa Halmashauri. Wakurugenzi hao hawapati pensheni na pia hawapati marupurupu ya faida jinsi ilivyo kwa wafanya kazi wengine.

Social and Environmental Responsibilities Statement

Majukumu ya kijamii na kimazingira

The Bank recognizes its corporate social and environmental responsibilities and has a documented policy, approved by the Board, in support of these. The welfare of employees is a key responsibility.

The Bank is committed to partnering with others who share similar objectives towards social development and empowerment of the broader community and caring for the environment through various corporate social initiatives.

Some of the areas that benefited from our contribution and participation are highlighted on the inside covers.

Ethical Standards

The Bank conducts business in compliance with high ethical standards of business practice. It adheres to the Banking Code of Ethics as prescribed by Kenya Bankers' Association which requires all employees to conduct business with the highest standards of personal and corporate integrity.

Each member of staff upon

employment signs a declaration of secrecy and this is renewed semi-annually thereafter.

Employees

The Bank encourages dialogue and participation from all employees through internal e-mail, team-building initiatives and a staff magazine. Further, the Bank holds a bi-annual staff conference where all staff members meet for a day for discussions on the Bank's progress and strategic direction.

HIV/AIDS

The Bank is dedicated to promoting and protecting the fundamental human rights of all persons including those living with HIV/AIDS. This tenet is amplified through the Bank's HIV/AIDS programme whose initiatives are aimed at educating staff on all aspects of the HIV/AIDS pandemic with the objective of minimizing its on the organization.

Concern goes beyond the staff members to their families and the

community at large and indeed, NIC Bank participates in several HIV/AIDS-related societal initiatives.

Staff Training & Development

The Bank attaches great importance to staff training and development as a means of ensuring that employees have requisite competencies to perform their jobs. On-the-job-training is the foundation upon which all other types of training must depend. The role that experienced staff play in training their colleagues is acknowledged.

Tailor-made courses/workshops are arranged and offered to employees to meet specific training requirements. To give staff international exposure the Bank has identified overseas strategic partners with whom NIC Bank staff are able to train at concessionary rates. With the current skill-base, the Bank is able to effectively compete both locally and internationally.

Majukumu ya kijamii na kimazingira

Benki inatambua jukumu lake kuhusu masuala ya kijamii na kimazingira ambapo imependekezwa sera ambayo imedhinishwa na kuungwa mkono na Halmashauri. Ustaarabu wa wafanya kazi ni jukumu la muhimu.

Benki imejitolea pia kushirikiana na mashirika mengine ambayo yana malengo yenye nia ya kuendeleza jamii na kuyashughulikia mazingira kupitia kwa shughuli tofauti.

Baadhi ya sehemu ambazo zimenufaika kwa mchango wa ushirika wetu zimefafanuliwa katika sehemu za ndani za jalada la kwanza na la mwisho.

Kiwango cha Maadili

Benki huendesha shughuli zake kwa misingi ya maadili ya kibiashara ya hali ya juu. Inazingatia kanuni za biashara ya benki jinsi ilivyopendekezwa na chama cha wenye benki nchini (Kenya Bankers' Association).

Punde tu baada ya kuajiriwa, kila mfanya kazi huweka sahihi kiapo cha siri. Sahihi hii huwekwa tena kila baada ya miezi misita.

Wafanya kazi

Benki inahimiza mawasiliano na ushirikiano wa wafanya kazi wote kupitia kwa barua pepe, miradi ya umoja, na jarida la kampuni. Pia kampuni huandaa kongamano la wafanyakazi mara mbili kwa mwaka ambapo wafanya kazi hukutana kwa siku moja na kufanya mazungumzo kuhusu maendeleo ya benki na mwelekeo unapaswa kuchukuliwa.

HIV/Ukimwi

Benki imejitoa kuendeleza na kulinda haki za kibinadamu kwa watu wote wakiwemo wale wanaoishi na virusi vya Ukimwi. Hii ni kupitia kwa mpango wa Virusi vya Ukimwi ulioanzishwa na benki ili kuwaelimisha wafanya kazi kuhusu janga la Ukimwi kwa lengo la kukipunguza kiwango cha maambukizi miongoni mwa wafanya kazi.

Suala la Virusi vya Ukimwi halishughulikiwa tu kwa wafanya kazi pekee bali hata familia na jamii nzima. NIC Bank hushiriki katika masuala tofauti kuhusu Virusi vya Ukimwi. Inajihusisha na miradi mingi inayojali masilaha ya watu wanao ukimwi.

Mafunzo na maendeleo ya wafanya kazi.

Benki inazingatia mno mafunzo kwa wafanya kazi na maendeleo kama njia ya kuhakikisha kwamba wafanya kazi wanao uwezo wa kufanya vyema kazi zao. Kupokea mafunzo kazini ni msingi ambao mafunzo mengine mengine yote yanategemea. Mchango wa wafanya kazi wakakamavu kwa kuwafunza wenzao unatambuliwa na Benki.

Mafunzo pamoja na semina tofauti huandaliwa ili kuhakikisha kwamba wafanya kazi wanafikia kiwango kinachohitajika. Ili kuwapa wafanya kazi fursa ya kutambuliwa kimataifa, wao huelekezwa kwa washirika wa Benki ya NIC ng'ambo na kupokea mafunzo kwa malipo ya kadiri. Kutokana na ujuzi uliopo, Benki ina uwezo wa kukabiliana na washindani nchini na katika safu za kimataifa.

Notice of the Annual General Meeting

Tangazo la Mkutano Mkuu wa Mwaka

Notice is hereby given that the forty-sixth Annual General Meeting of shareholders will be held at the Inter-Continental Hotel, Nairobi on Wednesday 17th May 2006, at 11.00am for the following purposes :

1. To receive and consider the Financial Statements for the year ended 31st December 2005 and the Directors' and Auditors Reports thereon.
2. To confirm the payment of the interim dividend of 14% paid on 14th October 2005 and to approve the payment of a final dividend of 36% on the paid up capital of Sh 412,072,755.
3. To approve the payment of fees to the Directors for the year ended 31st December 2005.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorise the Directors to fix their remuneration.
5. To elect Directors:
 - i. In accordance with Article 89 of the Company's Articles of Association, A. Dodd who was appointed to the Board since the last Annual General Meeting, retires from office and, being eligible, offers himself for re- election.
 - ii. In accordance with Articles 98,99 and 100 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election;
 - a) F.M. Mbiru
 - b) F.N. Mwanzia
 - c) M.L. Somen.

By Order of the Board
L. Murage
Secretary
P. o. Box 44599 - 00100 GPO
Nairobi.

7 April 2006

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report, must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting.

Inaarifiwa kwamba kikao cha arobaini na sita cha Mkutano Mkuu wa Mwaka wa wenyehisa utaandaliwa ukumbi wa Inter-Continental Hotel, Nairobi Jumatano tarehe 17 Mei 2006, saa tano asubuhi kwa madhumuni yafuatayo:

1. Kupokea na kukariri Taarifa za Fedha kwa mwaka uliomalizikia Desemba 31, 2005 na taarifa za Wakurugenzi na Wakaguzi hesabu zilizoko hapo.
2. Kuthibitisha malipo ya mgawo wa muda wa asilimia 14 uliolipwa tarehe 14 Oktoba 2005 na kuidhinisha malipo ya mgawo wa mwisho wa asilimia 36 kwenye rasilimali iliyolipiwa ya Sh 412,072,755.
3. Kuidhinisha marupurupu ya Wakurugenzi kwa mwaka uliomalizikia Desemba 31, 2005.
4. Kuthibitisha kwamba kampuni ya Deloitte & Touche wataendelea na wadhifa wa ukaguzi hesabu kwa jinsi ya Fungu la 159(2) la Kanuni za Makampuni (Sehemu ya 486) na Kibali cha Benki Kuu ya Kenya kuambatana na Fungu la 24(1) la Kanuni za Mabenki (Sehemu ya 488) na kuwaidhinisha Wakurugenzi kupanga marupurupu yao.
5. Kuwachagua Wakurugenzi
 - i. Kuambatana na Ibara ya 89 ya Sheria za Kushirikishwa Kampuni, A. Dodd ambaye aliteuliwa kwenye Halmashauri tangu Mkutano Mkuu wa Mwaka jana, anastaafu na, kwa kuwa anastahili anajitolea kuchaguliwa tena.
 - ii. Kuambatana na Ibara za 98,99 na 100 ya Sheria za Kushirikishwa Kampuni, wakurugenzi wafauatao wanastaafu kwa zamu na kwa kuwa wanastahili, wamejitolea kuchaguliwa tena:
 - a) F.M. Mbiru
 - b) F.N. Mwanzia
 - c) M.L. Somen.

Kwa Amri ya Halmashauri
L. Murage
Katibu
S.L.P. 44599 - 00100 GPO
Nairobi.

7 Aprili 2006

Fahamu: Mwanachama anayestahili kuhudhuria na kupiga kura anaweza kumteua mwakilishi wa kuhudhuria na kupiga kura kwa niaba yake. Si lazima mwakilishi huyo awe mwanachama wa kampuni. Ili ikubaliwe, fomu ya uwakilishi iliyoko kwenye ripoti hii, ni lazima ipelekwe kwenye Afisi Iliyoandikishwa ya Kampuni sio chini ya masaa 24 kabla ya wakati uliopangiwa wa Mkutano.

FIVE YEAR FINANCIAL REVIEW

Historia ya Dhima

BALANCE SHEET	2001	2002	2003	2004	2005
ASSETS	Sh'ooo	Sh'ooo	Sh'ooo	Sh'ooo	Sh'ooo
Government securities	2,191,972	2,387,374	1,972,145	1,751,907	2,472,787
Loans and advances to customers (net)	4,246,768	4,712,576	6,896,158	11,541,195	14,127,238
Property and equipment	388,244	367,986	403,801	495,817	528,731
Others	1,569,219	1,861,346	1,764,152	2,854,574	3,456,476
TOTAL ASSETS	8,396,203	9,329,282	11,036,256	16,643,493	20,585,232
LIABILITIES					
Customer deposits	5,599,819	6,493,244	7,951,236	12,504,011	16,575,398
Borrowed funds	172,327	92,604	67,165	601,644	354,404
Other liabilities	222,954	245,059	441,695	893,871	933,610
TOTAL LIABILITIES	5,995,100	6,830,907	8,460,096	13,999,526	17,863,412
SHAREHOLDERS' EQUITY	2,401,103	2,498,375	2,576,160	2,643,967	2,721,820
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	8,396,203	9,329,282	11,036,256	16,643,493	20,585,232

PROFIT AND LOSS ACCOUNT

INTEREST INCOME	1,027,699	980,606	980,038	1,068,995	1,940,340
INTEREST EXPENSE	278,317	286,724	202,452	206,980	770,868
NET INTEREST INCOME	749,382	693,882	777,586	862,015	1,169,472
TOTAL NON-INTEREST INCOME	105,022	137,612	166,923	292,761	372,244
TOTAL OPERATING INCOME	854,404	831,494	944,509	1,154,776	1,541,716
OPERATING EXPENSES	406,967	402,996	527,976	762,358	930,323
BAD & DOUBTFUL DEBTS EXPENSE	70,397	88,274	57,210	19,862	208,383
TOTAL OPERATING EXPENSES	477,364	491,270	585,186	782,220	1,138,706
PROFIT BEFORE TAX	377,040	340,224	359,323	372,556	403,010
TAXATION	119,921	111,089	116,709	111,200	127,362
PROFIT AFTER TAX	257,119	229,135	242,614	261,356	275,648
EARNINGS PER SHARE (Shs)	3.12	2.78	2.94	3.17	3.34
DIVIDEND PER SHARE (Shs)	1.60	2.00	2.25	2.40	2.50

OTHER DISCLOSURES

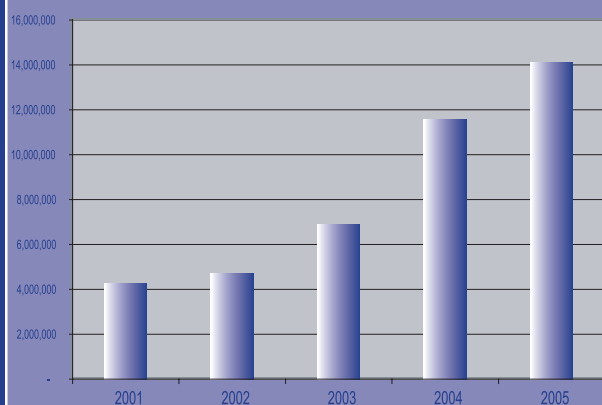
1. NON-PERFORMING LOANS AND ADVANCES					
(a) Non-performing loans and advances	922,953	946,578	759,316	589,583	705,865
(b) Specific provision	492,296	600,369	625,805	375,947	529,947
(c) Net Non-Performing Loans and Advances(a-b)	430,657	346,209	133,511	213,636	175,918
2. NUMBER OF EMPLOYEES	125	125	149	203	252

PERFORMANCE INDICATORS

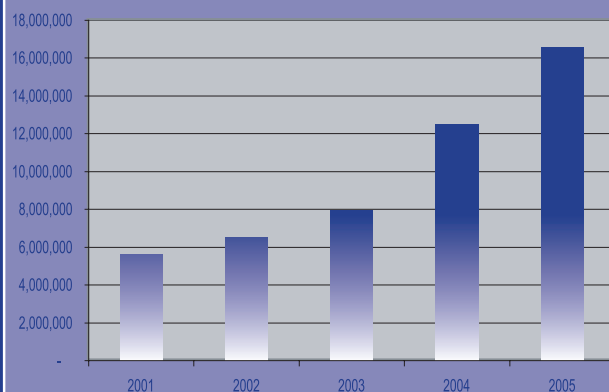
Return on capital employed(ROCE)	15.70%	13.62%	13.95%	14.09%	14.81%
Non-funded income to total income	12.29%	16.55%	17.67%	25.35%	24.14%
Non-performing loans to total loans	10.14%	7.35%	1.94%	1.85%	1.25%
Return on total assets	4.49%	3.65%	3.26%	2.24%	1.96%

Performance Graphs

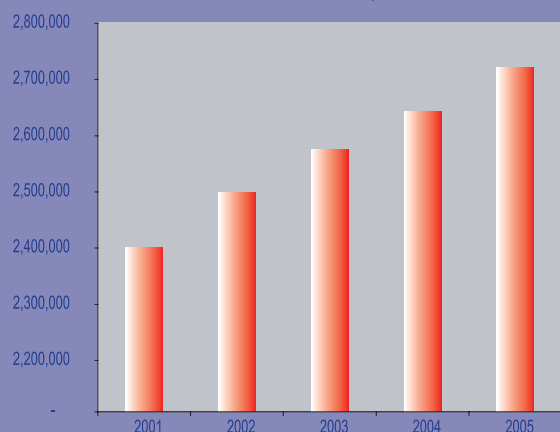
NET LOANS & ADVANCES



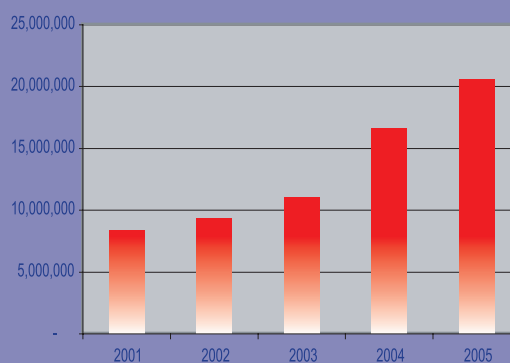
CUSTOMER DEPOSITS



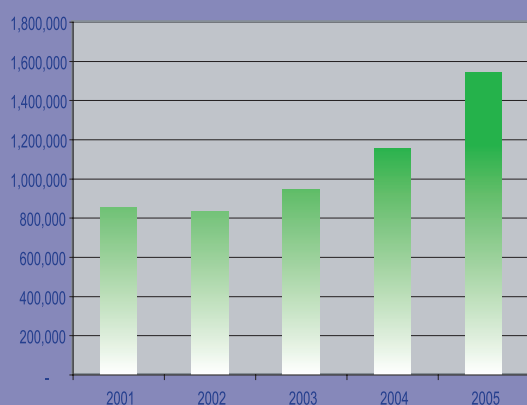
SHAREHOLDERS EQUITY



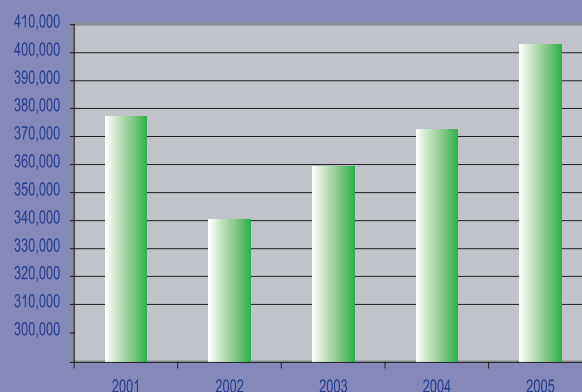
TOTAL ASSETS



TOTAL OPERATING INCOME



PROFIT BEFORE TAX



Report of the Directors

Taarifa ya Wakurugenzi

The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2005.

ACTIVITIES

The principal activities of the bank, which is licensed under the Banking Act, are the provision of banking, financial and related services.

RESULTS

	Sh'000
Profit before taxation	403,010
Taxation expense	(127,362)

Profit after taxation	275,648
	=====

DIVIDENDS

An interim dividend of Sh 0.70 per share amounting to Sh 57,690,000 was paid to shareholders on 14 October 2005.

The directors recommend a final dividend of Sh 1.80 per share amounting to Sh 148,346,000, which, together with the interim dividend, represents Sh 2.50 per share on the issued share capital for the year ended 31 December 2005.

DIRECTORS

The present members of the Board of Directors are shown on page 3-5.

Mr M N Davidson resigned on 13 June 2005 and Mr S J Caley resigned on 25 November 2005.

Mr A Dodd was appointed on 22 February 2006.

In accordance with articles 98, 99 and 100 of the Articles of Association, F M Mbiru, F N Mwanza and M L Somen retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

BY ORDER OF THE BOARD

L Murage
Secretary
Nairobi
22nd February 2006

Wakurugenzi wana furaha ya kuwasilisha taarifa yao na ya hesabu zilizokaguliwa kwa mwaka uliomalizikia tarehe Desemba 31, 2005.

SHUGHULI

Shughuli muhimu za benki, ambayo imeidhinishwa chini ya Kanuni za Mabenki, ni utoaji huduma za kibenki, kifedha na mambo yanayohusiana.

MATOKEO

	Sh '000
Mapato kabla ushuru	403,010
Ushuru	(127,362)

Faida baada ushuru	275,648
	=====

MGAWO

Mgawo wa muda wa Sh 0.70 kwa hisa ukijumlisha Sh 57,690,000 ulilipwa wenye hisa tarehe 14 Oktoba, 2005.

Wakurugenzi wanapendekeza mgawo wa mwisho wa Sh 1.80 kwa hisa, ukijumlisha Sh 148,346,000 ambao pamoja na mgawo wa muda, unawasilisha Sh 2.50 kwenye rasilimali ya hisa zilizotolewa kwa mwaka ulioishia 31 Desemba, 2005.

WAKURUGENZI

Wanachama wa sasa wa Halmashauri ya Wakurugenzi wameonyeshwa kwenye kurasa wa 3-5

Mr M N Davidson alistaafu 13 June 2005 na Mr S J Caley alistaafu 25 November 2005.

Mr A Dodd alichaguliwa tarehe 22 Februari 2006.

Kuambatana na Ibara ya 98, 99 and 100 ya Sheria za Ushirikishwaji, F M Mbiru, F N Mwanza and M L Somen wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena.

WAKAGUZI HESABU

Deloitte & Touche wataendelea na wadhifa kuambatana na Sehemu ya 159 (2) ya Kanuni za Makampuni na kwa sharti ya Sehemu ya 24 (1) ya Kanuni za Mabenki.

KWA AMRI YA HALMASHAURI

L Murage
Katibu
Nairobi
22 Februari 2006

Statement of Directors' Responsibilities

Taarifa ya Mamlaka ya Wakurugenzi

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the bank as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the bank keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the bank. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

Sheria ya makampuni inawahitaji wakurugenzi kuzitayari-sha taarifa za hesabu ya fedha kila mwaka, zinazoonyesha hali kamili ya mambo katika kikundi cha makampuni pamoja na zile za beni kila mwisho wa mwaka. Sheria hii pia inahitaji wakurugenzi kuhakikisha kwamba kikundi cha makampuni na benki zinaweka rekodi mwafaka na zinazoonyesha hali ilivyo katika kikundi na benki kila wakati. Wanawajibika pia kuilinda mali ya kikundi.

Wakurugenzi wanayakubali mamlaka kwa kila taarifa ya hesabu yoyote ya kila mwaka, ambayo imeandaliwa kulingana na maongozi na mbinu ya kihesabu zilizowekwa na zinazoambatana na kanuni za kimataifa za hesabu, na mahitaji ya Sheria ya Makampuni. Kulingana na maoni ya wakurugenzi, taarifa za hesabu ya fedha zinapatiana picha iliyo sawa kuhusiana na hali ya kikundi na benki na matokeo ya vile inavyoendeshwa. Wakurugenzi pia wamekubali wajibu wa kuzihifadhi rekodi hizi za akaunti ambazo zinaweza kutumiwa katika kuandaa taarifa za makidirio ya fedha, na pia njia sawa za kuhakikisha usimamizi bora wa kindani wa fedha.

Kulingana na wakurugenzi hakuna tashwishi yoyote kuonyesha kuwa hali ya benki sio barabara kwa kipindi cha miezi mikumi na mbili ijayo kutokea tarehe ya taarifa hii.

J.P.M. Ndegwa - Chairman

J P M Ndegwa - Mwenyekiti

J.W. Macharia - Managing Director

J.W. Macharia - Mkurugenzi Mkuu

22nd February 2006

22 Februari 2006

Independent Auditor's Report

To the members of NIC Bank Limited

Taarifa ya Wakaguzi Kwa Wenyehisa

Deloitte & Touche
Certified Public Accounts (Kenya)
"Kirungii"
Ring Road, Westlands
P O Box 40092 - 00100 GPO
Nairobi
Kenya

Telephone: +(254-20) 444 1344/05-12
Facsimile: +(254-20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke

We have audited the financial statements on pages 23 to 58 for the year ended 31 December 2005 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 20, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the bank and the bank's balance sheet is in agreement therewith.
- (b) the financial statements give a true and fair view of the state of affairs of the bank and the group as at 31 December 2005 and of the profit and cash flows of the group for the year ended on that date, in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

Deloitte & Touche
22 February 2006

Partners: D.M. Ndonye H. Gadhoke* J.M. Kiarie M.M. Kisuu S.O. Onyango J.W. Wangai
* British

Independent Auditor's Report

To the members of NIC Bank Limited

Taarifa ya Wakaguzi Kwa Wenye-hisa

Deloitte & Touche
Certified Public Accounts (Kenya)
"Kirungii"
Ring Road, Westlands
P O Box 40092 - 00100 GPO
Nairobi
Kenya

Telephone: +(254-20) 444 1344/05-12
Facsimile: +(254-20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke

Tumezikagua Taarifa za Hesabu kwenye kurasa za 23 hadi 58 za mwaka uliomalizika tarehe 31 Desemba, 2005 na timeyapata maelezo yote na ufafanuzi ambao, kwa kadiri ya maarifa na kuamini kwetu, yalikuwa muhimu kwa minaa-jil ya ukaguzi wetu.

Mamlaka binafsi ya wakurugenzi na wakaguziKama

Ilivyo-elezewa kwenye ukurasa wa 20, Taarifa za Fedha ni wajibu wa wakurugenzi. Wajibu wetu ni kutoa maoni yetu juu ya Taarifa za Fedha kutokana na ukaguzi wetu.

Msingi wa maoni

Tuliutekeleza ukaguzi wetu kuambatana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivi vinatuhitaji tupange na kutekeleza ukaguzi ili tupate thibitisho linalofaa kwamba Taarifa zenyewe hazina upotofu wowote. Ukaguzi ni pamoja na uchunguzi, kwa misingi ya majaribio, ushahidi unaounga mkono kiasi cha pesa na ufichuo kwenye Taarifa za Fedha, makadirio ya maadili ya uhasibu yaliyotumika na makisio muhimu yaliyofanywa na wakurugenzi, na utathmini jumla wa uwasilishaji wa Taarifa za Fedha. Tunaamini kwamba ukaguzi wetu unatoa msingi wa maoni yetu usio na shaka.

Maoni

Kwa maoni yetu:

- vitabu sahihi vya uhasibu viliwekwa na Kampuni na Taarifa za Fedha, ambazo zinakubaliana navyo
- zinatoa mandhari halisi ya shughuli za kikundi na Benki kufikia tarehe 31 Desemba 2005 na za Faida na Pesa Taslimu kwa mwaka uliomalizika tarehe hiyo, na zinakubaliana na Viwango vya Kimataifa vya Uhasibu na Sheria za Kenya za Makampuni.

Deloitte & Touche
22 Februari 2006

Partners: D.M. Ndonge H. Gadhoke* J.M. Kiarie M.M. Kisuu S.O. Onyango J.W. Wangai
* British

Maandishi yaliyopo hapo juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenye-hisa wa NIC Bank Limited" inayoonekana kwenye ukurasa wa 21 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Independent Auditor's Report to the members of NIC Bank Limited" which appears on page 21 of this report. In the event of any dispute over the interpretation of the Independent Auditor's Report, the English version shall be the authoritative version.

Consolidated Income Statement

for the year ended 31 December 2005

	Note	2005 Sh'ooo	2004 Sh'ooo
INTEREST INCOME	3	1,940,340	1,068,995
INTEREST EXPENSE	4	(770,868)	(206,980)
NET INTEREST INCOME		1,169,472	862,015
Fees and commission income		226,819	166,244
Foreign exchange trading income		44,075	53,284
Other operating income	5	101,350	73,233
OPERATING INCOME		1,541,716	1,154,776
Operating expenses	6	(930,323)	(762,358)
Impairment losses on loans and advances	16	(208,383)	(19,862)
PROFIT BEFORE TAXATION		403,010	372,556
TAXATION EXPENSE	8	(127,362)	(111,200)
NET PROFIT FOR THE YEAR ATTRIBUTABLE TO SHAREHOLDERS	9	275,648	261,356
		=====	=====
		Sh	Sh
EARNINGS PER SHARE - Basic	10	3.34	3.17
		=====	=====
- Diluted	10	3.34	3.17
		=====	=====
DIVIDENDS PER SHARE - Declared	11	0.7	0.7
		=====	=====
- Proposed	11	1.80	1.70
		=====	=====

Consolidated Balance Sheet

for the year ended 31 December 2005

	Note	2005 Sh'ooo	2004 Sh'ooo
ASSETS			
Cash and balances with Central Bank of Kenya	12	1,612,479	1,012,517
Government securities	13	2,472,787	1,751,907
Deposits and balances due from banking institutions	14	1,404,975	1,408,061
Advances to customers	15	14,127,238	11,541,195
Other assets	17	325,774	369,020
Retirement benefit asset	32	-	3,935
Tax recoverable		6,968	-
Deferred tax asset	19	17,412	10,211
Intangible assets	20	80,618	42,455
Property and equipment	21	528,731	495,817
Operating lease prepayments	22	8,250	8,375
TOTAL ASSETS		20,585,232 =====	16,643,493 =====
LIABILITIES			
Customer deposits	23	16,575,398	12,504,011
Other liabilities	24	374,091	514,300
Lines of credit	25	354,404	601,644
Balances due to banking institutions	26	528,529	351,575
Taxation payable		-	1,697
Unclaimed dividends		30,990	26,299
TOTAL LIABILITIES		17,863,412 =====	13,999,526 =====
CAPITAL RESOURCES			
Share capital	27	412,073	412,073
Share premium		299,943	299,943
Revaluation surplus		107,761	142,033
Revenue reserves		1,902,043	1,649,813
Proposed dividends		-	140,105
SHAREHOLDERS' FUNDS		2,721,820 =====	2,643,967 =====
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		20,585,232 =====	16,643,493 =====

The financial statements on pages 23 to 58 were approved by the board of directors on 22nd February 2006 and were signed on its behalf by:

Directors: J.P.M. Ndegwa
J.W. Macharia
F.N. Mwanzia
Secretary L. Murage

Company Balance Sheet

for the year ended 31 December 2005

	Note	2005 Sh'000	2004 Sh'000
ASSETS			
Cash and balances with Central Bank of Kenya	12	1,612,479	1,012,517
Government securities	13	2,443,058	1,751,907
Deposits and balances due from banking institutions	14	1,404,975	1,408,061
Advances to customers	15	14,127,238	11,541,195
Other assets	17	320,418	364,648
Retirement benefit asset	32	-	3,935
Tax recoverable		6,968	-
Investment in subsidiary companies	18	80,501	50,501
Deferred tax asset	19	17,412	10,211
Intangible assets	20	80,618	42,455
Property and equipment	21	528,731	495,817
Operating lease prepayments	22	8,250	8,375
TOTAL ASSETS		20,630,648 =====	16,689,622 =====
LIABILITIES			
Customer deposits	23	16,575,398	12,504,011
Other liabilities	24	374,091	514,300
Lines of credit	25	354,404	601,644
Balances due to banking institutions	26	528,529	351,575
Taxation payable		-	1,697
Unclaimed dividends		30,990	26,299
Due to subsidiary company	18	45,290	46,254
TOTAL LIABILITIES		17,908,702 =====	14,045,780 =====
CAPITAL RESOURCES			
Share capital	27	412,073	412,073
Share premium		299,943	299,943
Revaluation surplus		107,761	142,033
Revenue reserves		1,902,169	1,649,688
Proposed dividends		-	140,105
SHAREHOLDERS' FUNDS		2,721,946 =====	2,643,842 =====
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		20,630,648 =====	16,689,622 =====

The financial statements on pages 23 to 58 were approved by the board of directors on 22nd February 2006 and were signed on its behalf by:

Directors: J.P.M. Ndegwa
J.W. Macharia
F.N. Mwanzia
Secretary L. Murage

Consolidated Statement of Changes in Equity

for the year ended 31 December 2005

	Share Capital Sh'ooo	Share Premium Sh'ooo	Revaluation Surplus Sh'ooo	Revenue Reserves Sh'ooo	Proposed Dividends Sh'ooo	Total Sh'ooo
At 1 January 2004	412,073	299,943	140,750	1,587,535	135,984	2,576,285
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	261,356	-	261,356
Dividends:						
-final for 2003 declared	-	-	-	-	(135,984)	(135,984)
-interim for 2004 declared	-	-	-	(57,690)	-	(57,690)
-proposed final for 2004	-	-	-	(140,105)	140,105	-
	=====	=====	=====	=====	=====	=====
At 31 December 2004	412,073	299,943	142,033	1,649,813	140,105	2,643,967
	=====	=====	=====	=====	=====	=====
At 1 January 2005	412,073	299,943	142,033	1,649,813	140,105	2,643,967
Transfer of excess depreciation						
- prior year	-	-	(31,279)	31,279	-	-
- current year	-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	275,648	-	275,648
Dividends:						
-final for 2004 declared	-	-	-	-	(140,105)	(140,105)
-interim for 2005 declared	-	-	-	(57,690)	-	(57,690)
	=====	=====	=====	=====	=====	=====
At 31 December 2005	412,073	299,943	107,761	1,902,043	-	2,721,820
	=====	=====	=====	=====	=====	=====

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

Previously, the group had not been transferring excess depreciation on revaluation surplus. This has been corrected in the current year.

Company Statement of Changes in Equity

for the year ended 31 December 2005

	Share Capital Sh'ooo	Share Premium Sh'ooo	Revaluation Surplus Sh'ooo	Revenue Reserves Sh'ooo	Proposed Dividends Sh'ooo	Total Sh'ooo
At 1 January 2004	412,073	299,943	140,750	1,587,410	135,984	2,576,160
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	261,356	-	261,356
Dividends:						
-final for 2003 declared	-	-	-	-	(135,984)	(135,984)
-interim for 2004 declared	-	-	-	(57,690)	-	(57,690)
-proposed final for 2004	-	-	-	(140,105)	140,105	-
	=====	=====	=====	=====	=====	=====
At 31 December 2004	412,073	299,943	142,033	1,649,688	140,105	2,643,842
	=====	=====	=====	=====	=====	=====
At 1 January 2005	412,073	299,943	142,033	1,649,688	140,105	2,643,842
Transfer of excess depreciation						
- prior year	-	-	(31,279)	31,279	-	-
- current year	-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	275,899	-	275,899
Dividends:						
-final for 2004 declared	-	-	-	-	(140,105)	(140,105)
-interim for 2005 declared	-	-	-	(57,690)	-	(57,690)
	=====	=====	=====	=====	=====	=====
At 31 December 2005	412,073	299,943	107,761	1,902,169	-	2,721,946
	=====	=====	=====	=====	=====	=====

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

Previously, the company had not been transferring excess depreciation on revaluation surplus. This has been corrected in the current year.

Consolidated Cash Flow Statement

for the year ended 31 December 2005

		2005	2004
	Note	Sh'ooo	Sh'ooo
CASH GENERATED FROM OPERATIONS	28(a)	875,179	894,905
Taxation paid		(143,228)	(142,783)
Net generated from operating activities		731,951	752,122
INVESTING ACTIVITIES			
Purchase of property and equipment		(120,995)	(154,874)
Purchase of intangible assets		(60,990)	(2,300)
Proceeds on sale of equipment		21,777	4,153
Net cash used in investing activities		(160,208)	(153,021)
FINANCING ACTIVITIES			
Dividends paid		(193,104)	(190,632)
Net cash used in financing activities		(193,104)	(190,632)
NET INCREASE IN CASH AND CASH EQUIVALENTS		378,639	408,469
CASH AND CASH EQUIVALENTS AT 1 JANUARY		2,612,237	2,203,768
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	28(b)	2,990,876	2,612,237

Notes to the Financial Statements

for the year ended 31 December 2005

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year except as stated below:

Adoption of new and revised international financial reporting standards

In 2005 several new and revised standards became effective for the first time and have been adopted by the company where relevant to its operations. The adoption of these new and revised standards had no effect on the amounts reported for the current or prior years. This only resulted in changes in presentation and disclosure:

- IAS 10 has affected the presentation of proposed dividends
- IAS 16 has required the disclosure of comparative figures for movements in property and equipment
- IAS 24 has required the disclosure of the compensation of key management personnel

At the date of authorisation of these financial statements IFRS 6 on Exploration for and Evaluation of Mineral Assets and IFRS 7 on Financial Instruments Disclosures were in issue but not yet effective. The adoption of these Standards, when effective, will have no material impact on the financial statements of the Group.

Basis of accounting

The group prepares its financial statements under the historical cost convention, modified to include the revaluation of certain properties and financial instruments.

Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The consolidated financial statements incorporate the financial statements of the bank and its subsidiaries whose financial years end on 31 December. A listing of the bank's subsidiaries is set out in note 18.

Revenue recognition

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Fees and commission income are recognised at the time of effecting the transactions.

Investment in subsidiary companies

Investment in subsidiary companies in the company's books (details of which are disclosed in note 18) are stated at cost less impairment loss where applicable.

Property and equipment

Property and equipment are stated at cost or as professionally revalued from time to time less accumulated depreciation and accumulated impairment losses.

Depreciation is calculated on a straight line basis at annual rates estimated to write off the cost or valuation of property and equipment over their expected useful lives, on the following bases:

Buildings	2%
Furniture, fittings and equipment	20%
Motor vehicles	20%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation reserve to revenue reserve.

Notes to the Financial Statements

for the year ended 31 December 2005

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Intangible assets-computer software costs

Costs incurred on computer software are initially accounted for at cost as intangible assets and subsequently at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

Impairment of tangible and intangible assets excluding goodwill

At each balance sheet date, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Foreign currencies

Assets and liabilities in foreign currencies are translated into Kenya shillings at rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are translated at rates ruling at the dates of the transactions. The resulting exchange differences are dealt with in the income statement.

Provisions for liabilities and charges

Entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Retirement benefit costs

The bank's contributions in respect of retirement benefit costs are charged to the income statement in the year to which they relate.

The bank operates a defined benefit staff pension and life assurance scheme for employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is non contributory and the rate of the bank's contribution is determined by the trustees who take into account the recommendations of independent actuaries. Benefits are paid to retiring staff in accordance with the scheme rules.

The cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out at each balance sheet date. Actuarial gains and losses which exceed 10 per cent of the greater of the present value of the Group's pension obligations and the fair value of plan assets are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to

Notes to the Financial Statements

for the year ended 31 December 2005

the extent that the benefits are already vested, otherwise is amortised on a straight-line basis, over the remaining period until the benefits become vested.

The amount recognised in the balance sheet represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

The bank also makes contributions to National Social Security Fund, a statutory defined contribution pension scheme. The bank's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee.

Financial instruments

A financial asset or liability is recognised when the company becomes party to the contractual provisions of the instrument.

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans, advances and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are also categorised as held for trading.

Loans, advances and receivables

Loans advances and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans, advances and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement. Dividends on available-for-sale equity instruments are recognised in the income statement when the group's right to receive payment is established.

Notes to the Financial Statements

for the year ended 31 December 2005

Fair values of quoted investments in active markets are based on quoted bid prices. Equity securities for which fair values cannot be measured reliably are measured at cost less impairment.

Impairment and uncollectability of financial assets

At each balance sheet date, all financial assets are subject to review for impairment.

If it is probable that the group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The amount of the loss is the difference between the asset's carrying amount and the present value of expected future cash flows discounted at the financial instrument's original effective interest rate (recoverable amount). The carrying amount of the asset is reduced to its estimated recoverable amount through use of the provision for bad and doubtful debts account. The amount of the loss incurred is included in income statement for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised directly in equity is removed from equity and recognised in the income statement for the period even though the financial asset has not been derecognised.

A general provision for loan impairment is established to cover losses that are judged to be present in the lending portfolio at the balance sheet date, but which have not been specifically identified as such. The provision is based on the Directors' assessment of the risk of default known to be present in the portfolio of the bank's advances.

Financial Liabilities

After initial recognition, the group measures all financial liabilities including customer deposits other than liabilities held for trading at amortised cost. Liabilities held for trading (financial liabilities acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin) are subsequently measured at their fair values.

Repurchase agreement transactions

Securities purchased from the Central Bank of Kenya under agreements to resell ("reverse repo's"), are disclosed as Treasury bills as they are held to maturity after which they are repurchased and are not negotiable/discounted during the tenure. The difference between the sale and repurchase price is treated as interest and accrued over the life of the repurchase agreement using the effective yield method.

Leasing

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

The Bank as lessor

Amounts due from lessees under finance leases are recorded as receivables at the amount of the Bank's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the Bank's net investment outstanding in respect of the leases.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

The Bank as lessee

Assets held under finance leases are recognised as assets of the Bank at their fair value at the date of acquisition. The corresponding liability to the lessor is included in the balance sheet as a finance lease obligation. Finance costs, which represent the difference between the total leasing commitments and the fair value of the assets acquired, are charged to the income statement over the term of the relevant lease so

Notes to the Financial Statements

for the year ended 31 December 2005

as to produce a constant periodic rate of charge on the remaining balance of the obligations for each accounting period.

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of the customer's default. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

Fiduciary activities

Assets and income arising thereon together with related undertakings to return such assets to customers are excluded from these financial statements where the bank acts in a fiduciary capacity such as nominee, trustee or agent.

Critical accounting estimates and judgements in applying the entity's accounting policies

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

Impairment losses on loans and advances

The group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the company makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cashflows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Held -to-maturity investments

The group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the group evaluates its intention and ability to hold such investments to maturity. If the group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

Notes to the Financial Statements

for the year ended 31 December 2005

1 ACCOUNTING POLICIES (Continued)

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 SEGMENTAL REPORTING

The major part of the business of the group falls under the category of banking with other income comprising less than 5% of total income. Also, the company operates wholly within Kenya. Segmental reporting is, therefore, not considered of any useful value.

3 INTEREST INCOME

	2005 Sh'000	2004 Sh'000
Finance leases	813,982	482,912
Loans and advances to customers	934,278	488,137
Government securities	139,248	78,110
Short term deposits	48,938	15,794
Corporate bonds	3,894	4,042
	1,940,340	1,068,995
	=====	=====

4 INTEREST EXPENSE

Customer deposits	714,666	183,033
Lines of credit	25,759	9,838
Deposits by banks	30,443	14,109
	770,868	206,980
	=====	=====

5 OTHER OPERATING INCOME

Rental income	22,106	23,589
Bad debts recovered	1,571	2,925
Miscellaneous income	77,673	46,719
	101,350	73,233
	=====	=====

Notes to the Financial Statements

for the year ended 31 December 2005

	2005 Sh'000	2004 Sh'000
6 OPERATING EXPENSES		
Staff costs (note 7)	318,953	269,165
Contribution to Deposit Protection Fund	15,121	10,387
Depreciation	69,350	61,126
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	22,826	15,472
Directors' emoluments - Fees	6,210	5,235
- Other	50,234	37,261
Auditors' remuneration	2,160	1,800
Operating lease rentals	29,328	20,615
Advertising costs	38,879	42,260
Switch/ATM costs	61,737	59,361
Utilities and rates	23,470	20,608
Telephone and postage	47,197	35,369
Printing and stationery	40,221	39,263
Computer & Software Maintenance	26,698	22,052
Travelling & vehicle running expenses	18,722	18,857
Legal & Professional fees	23,531	18,266
Security	21,011	15,415
Share Registration costs	8,628	9,833
Insurances	9,506	7,585
Visa card processing	14,393	-
Card production costs	7,035	1,673
Other expenses	74,988	50,630
	930,323 =====	762,358 =====
7 STAFF COSTS		
Salaries and allowances	276,086	242,009
Staff training	8,609	8,729
Gratuity provision	10,921	10,998
NSSF contributions	569	442
Medical expenses	8,539	6,987
Pension costs	14,229	-
	318,953 =====	269,165 =====
The average number of employees as at 31 December 2005 was 252 (2004 – 203)		
8 TAXATION	2005 Sh'000	2004 Sh'000
(a) Taxation expense		
Current tax:		
Income tax based on the taxable profit for the year at 30%	130,032	137,547
Prior year under provision	4,531	-
	134,563	137,547
Deferred taxation: (note 19)		
Current year	(4,869)	(23,260)
Prior year over provision	(2,332)	(3,087)
	(7,201)	(26,347)
	127,362 =====	111,200 =====

Notes to the Financial Statements

for the year ended 31 December 2005

8 TAXATION (Continued)

(b) Reconciliation of tax expense to the expected tax based on accounting profit

Accounting profit before taxation	403,010	372,556
	=====	=====
Tax at the applicable rate of 30%	120,903	111,767
Tax effect of expenses not deductible for tax	4,754	3,212
Tax effect of income not subject to tax	(494)	(692)
Prior year deferred tax over provision	(2,332)	(3,087)
Prior year under provision - current tax	4,531	-
	-----	-----
	127,362	111,200
	=====	=====

9 PROFIT ATTRIBUTABLE TO SHAREHOLDERS

The profit attributable to shareholders dealt with in the company financial statements of NIC Bank Limited is Sh 275,899,000 (2004 - Sh 261,356,000).

10 EARNINGS PER SHARE

Earnings per share is calculated based on the profit after taxation of Sh 275,648,000 (2004 - Sh 261,356,000) and 82,414,551 (2004 - 82,414,551) ordinary shares in issue during the year.

The diluted earnings per share is the same as the basic earnings per share.

11 DIVIDENDS

During the year an interim dividend of Sh 0.7 (2004 - Sh 0.7) amounting to a total of Sh 57,690,000 (2004 - Sh 57,690,000) was declared.

At the annual general meeting scheduled for 17 May 2006, a final dividend in respect of 2005 of Sh 1.80 per share (2004 - Sh 1.70 per share) amounting to a total of Sh 148,346,000 (2004 - Sh 140,105,000) is to be proposed. The total dividend for the year is therefore, Sh 2.50 per share (2004 - Sh 2.40 per share) amounting to a total of Sh 206,036,000 (2004 - Sh 197,795,000).

Payment of dividends to members with shareholding below 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

12 CASH AND BALANCES WITH CENTRAL BANK OF KENYA-GROUP AND COMPANY

	2005 Sh'000	2004 Sh'000
Cash on hand	258,930	150,252
Balances with Central Bank of Kenya		
- Cash ratio requirement	981,801	656,957
- Other (available for use by the group)	371,748	205,308
	-----	-----
	1,612,479	1,012,517
	=====	=====

The cash ratio requirement is non interest bearing and is based on the customer deposits with the bank as adjusted by the Central Bank of Kenya requirements. As at 31 December 2005, the cash ratio requirement was 6% (2004 - 6%) of all customer deposits. These funds are not available for the day to day operations of the group.

Notes to the Financial Statements

for the year ended 31 December 2005

13 GOVERNMENT SECURITIES – GROUP AND COMPANY

	GROUP		COMPANY	
	2005 Sh'000	2004 Sh'000	2005 Sh'000	2004 Sh'000
(a) Treasury bills				
Maturing within 90 days of the balance sheet date				
Face value	1,499,650	1,206,400	1,469,650	1,206,400
Less: Unearned discount	(15,898)	(6,210)	(15,627)	(6,210)
	<u>1,483,752</u>	<u>1,200,190</u>	<u>1,454,023</u>	<u>1,200,190</u>
(b) Treasury bills				
Maturing after 90 days of the balance sheet date				
Face value	600,000	-	600,000	-
Less: Unearned discount	(17,866)	-	(17,866)	-
	<u>582,134</u>	<u>-</u>	<u>582,134</u>	<u>-</u>
(b) Treasury bonds at amortised cost				
- maturing within 1 year	356,901	151,717	356,901	151,717
- maturing after 1 year	50,000	350,000	50,000	350,000
- maturing after 2 years	-	50,000	-	50,000
	<u>406,901</u>	<u>551,717</u>	<u>406,901</u>	<u>551,717</u>
	<u>2,472,787</u> =====	<u>1,751,907</u> =====	<u>2,443,058</u> =====	<u>1,751,907</u> =====

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as held to maturity. The weighted average effective interest rate on treasury bills at 31 December 2005 was 8% (2004 - 4.81 %) and the rate for treasury bonds was 5 % (2004 - 6.62 %).

Notes to the Financial Statements

for the year ended 31 December 2005

14 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS - GROUP AND COMPANY

Maturing within 90 days of the balance sheet date

	2005 Sh'000	2004 Sh'000
Balances due from banking institutions	1,250,975	1,408,061
Deposits due from banking institutions	154,000	-
	1,404,975	1,408,061
	=====	=====

The weighted average effective interest rate for deposits due from banking institutions at 31 December 2005 was 8.69% (2004 - 1.7%) and nil for balances with banking institutions.

15 ADVANCES TO CUSTOMERS - GROUP AND COMPANY

	2005 Sh'000	2004 Sh'000
(a) Finance lease receivables (Note 15(f))	6,315,054	5,202,139
Loans and advances to customers	9,130,884	6,926,816
	15,445,938	12,128,955
Commercial paper (Note 15(b))	-	77,527
Corporate bonds (Note 15(c))	85,210	145,426
Bills discounted (Note 15(d))	125,192	358,893
	15,656,340	12,710,801
Unearned finance charges	(794,648)	(621,890)
Impairment provision (Note 16)	(734,454)	(547,716)
	14,127,238	11,541,195
	=====	=====
(b) Commercial paper		
Due 31 January, 2005 (US\$ 1,000,000)	-	77,850
Less: Unearned discount	-	(323)
	-	77,527
	=====	=====
(c) Corporate bonds		
Floating rate note due 2007	85,000	100,000
Floating rate note due 2006	-	45,000
Interest receivable	210	426
	85,210	145,426
	=====	=====
(d) Bills discounted		
Gross value	126,836	365,878
Less unearned discount	(1,644)	(6,985)
	125,192	358,893
	=====	=====

Notes to the Financial Statements

for the year ended 31 December 2005

15 ADVANCES TO CUSTOMERS (Continued)

The weighted average effective interest rate on loans and advances to customers as at 31 December 2005 was 13.5 % (2004 – 11%).

The weighted average effective interest rate on commercial paper at 31 December 2005 was nil (2004 – 4.97%).

The weighted average effective interest rate on corporate bonds at 31 December 2005 was 9.65% (2004 – 3.35%).

The weighted average effective interest rate on bills discounted and discounted letters of credit at 31 December 2005 was 5.7% (2004 – 4.37%).

The interest rate on loans and advances to customers are either pegged to the bank's base lending rate or the treasury bill rate. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. Included in net advances of Sh 14,098,932,000 (2004 – Sh 11,541,195,000) are loans and advances amounting to Sh 175,918,000 (2004 – Sh 213,636,000), net of specific provisions, which have been classified as non-performing.

	2005 Sh'000	2004 Sh'000		2005 Sh'000	2004 Sh'000
(e) Analysis of gross advances including finance leases by maturity:					
Maturing within one year	5,358,437	4,716,660			
Over one year to three years	6,263,717	5,142,528			
Over three years	3,823,784	2,269,767			
	<u>15,445,938</u>	<u>12,128,955</u>			
	=====	=====			
(f) Finance lease receivables					
			Minimum lease payments	Present value of minimum lease payments	
	2005 Sh'000	2004 Sh'000	2005 Sh'000	2004 Sh'000	
Amounts receivable under finance leases:					
Within one year	924,359	819,711	900,927	799,279	
In the second to fifth years inclusive	5,390,695	4,382,428	4,619,479	3,780,970	
	<u>6,315,054</u>	<u>5,202,139</u>	<u>5,520,406</u>	<u>4,580,249</u>	
Less: unearned finance income	(794,648)	(621,890)	-	-	
Present value of minimum lease payments receivable	<u>5,520,406</u>	<u>4,580,249</u>	<u>5,520,406</u>	<u>4,580,249</u>	
	=====	=====	=====	=====	

The bank enters into finance leasing arrangements for certain plant, equipment and motor vehicles. The average term of finance leases entered into is 3 years.

Unguaranteed residual values of assets leased under finance leases are estimated at nil (2004 : nil).

The interest rate inherent in the leases is variable at the contract date for all of the lease term. The weighted average effective interest rate on finance lease receivables at 31 December 2005 was 15% (2004 - 15%).

The related party transactions and balances are covered under note 33 and concentrations of advances to customers are covered under note 31.

Notes to the Financial Statements

for the year ended 31 December 2005

16 IMPAIRMENT LOSS PROVISION ON LOANS AND ADVANCES

	Specific provision Sh'000	General provision Sh'000	2005 Total Sh'000	2004 Total Sh'000
At 1 January	375,946	171,770	547,716	732,502
New provisions	175,646	32,737	208,383	133,469
Reversals during the year	-	-	-	(113,607)
Net provisions charged	175,646	32,737	208,383	19,862
Written off	(21,645)	-	(21,645)	(204,648)
At 31 December	529,947	204,507	734,454	547,716

17 OTHER ASSETS

	GROUP		COMPANY	
	2005 Sh'000	2004 Sh'000	2005 Sh'000	2004 Sh'000
Clearing account	208,907	175,090	208,907	175,090
Prepayments	14,935	10,637	14,934	10,637
Other receivables	101,932	183,293	96,577	178,921
	325,774	369,020	320,418	364,648

18 INVESTMENT IN SUBSIDIARY COMPANIES - COMPANY

	2005 Sh'000	2004 Sh'000
National Industrial Credit Trustees Limited (100% shareholding) - at cost	500	500
Mercantile Finance Company Limited (100% shareholding) - at cost	50,000	50,000
The African Mercantile Banking Company Limited (100% shareholding) - at net asset value	1	1
NIC Capital Limited (100% shareholding) - at cost	30,000	-
	80,501	50,501

All the subsidiary companies are controlled by the Company and have been consolidated into these financial statements.

Notes to the Financial Statements

for the year ended 31 December 2005

18 INVESTMENT IN SUBSIDIARY COMPANIES – COMPANY (Continued)

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2004 - Sh nil), and the revenue reserve balance was Sh nil (2004 - Sh nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2005. Its activities are limited to the recovery of its non performing debts.

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2005. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Sh nil (2004 - Sh nil).

NIC Capital Limited was established in the year to offer investment banking services. The company did not trade in the year but incurred a loss of Sh 251,000.

DUE TO SUBSIDIARY COMPANY - COMPANY

	2005 Sh'000	2004 Sh'000
Mercantile Finance Company Limited		
- Deposits held	3,270	4,228
- Other payables	42,020	42,026
	45,290	46,254
	=====	=====

19 DEFERRED TAX ASSET – GROUP AND COMPANY

The net deferred tax asset computed at the enacted rate of 30%, is attributable to the following items:

	2005 Sh'000	2004 Sh'000
Assets:		
General provision for bad and doubtful loans and advances	(61,352)	(51,531)
Leave pay provision	(558)	(558)
Gratuity provision	(6,326)	(6,395)
	(68,236)	(58,484)
Liability:		
Revaluation surplus	46,183	47,466
Excess capital allowances over depreciation	4,641	807
	50,824	48,273
	(17,412)	(10,211)
	=====	=====

Notes to the Financial Statements

for the year ended 31 December 2005

19 DEFERRED TAX ASSET – GROUP AND COMPANY (Continued)

	2005	2004
	Sh'000	Sh'000
Movement in net deferred tax asset is as follows:		
At 1 January	(10,211)	16,136
Income statement credit – Note 8 (a)	(7,201)	(26,347)
At 31 December	(17,412)	(10,211)
	=====	=====

20 INTANGIBLE ASSETS – GROUP AND COMPANY

	Computer software Sh'000
COST	
At 1 January 2004	77,769
Additions	2,300
At 31 December 2004	80,069
At 1 January 2005	80,069
Additions	60,990
At 31 December 2005	141,059
AMORTISATION	
At 1 January 2004	22,143
Charge for the year	15,472
At 31 December 2004	37,615
At 1 January 2005	37,615
Charge for the year	22,826
At 31 December 2005	60,441
NET BOOK VALUE	
At 31 December 2005	80,618
	=====
At 31 December 2004	42,455
	=====

Notes to the Financial Statements

for the year ended 31 December 2005

21 PROPERTY AND EQUIPMENT – GROUP AND COMPANY

	Buildings Sh'ooo	Furniture, fittings and equipment Sh'ooo	Motor vehicles Sh'ooo	Total Sh'ooo
COST OR VALUATION				
At 1 January 2004	299,608	247,487	33,606	580,701
Additions	16,057	96,179	42,638	154,874
Disposals	-	(2,384)	(7,986)	(10,370)
At 31 December 2004	315,665	341,282	68,258	725,205
At 1 January 2005	315,665	341,282	68,258	725,205
Additions	-	116,201	4,794	120,995
Disposals	-	(3,496)	(40,163)	(43,659)
At 31 December 2005	315,665	453,987	32,889	802,541
Comprising:				
Cost	16,057	453,987	32,889	502,933
Valuation – 2004	299,608	-	-	299,608
At 31 December 2005	315,665	453,987	32,889	802,541
DEPRECIATION				
At 1 January 2004	14,543	144,522	17,835	176,900
Charge for the year	7,305	42,884	10,937	61,126
Eliminated on disposals	-	(2,384)	(6,254)	(8,638)
At 31 December 2004	21,848	185,022	22,518	229,388
At 1 January 2005	21,848	185,022	22,518	229,388
Charge for the year	7,673	51,844	9,833	69,350
Eliminated on disposals	-	(2,798)	(22,130)	(24,928)
At 31 December 2005	29,521	234,068	10,221	273,810
NET BOOK VALUE				
At 31 December 2005	286,144	219,919	22,668	528,731
At 31 December 2004	293,817	156,260	45,740	495,817

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Sh 138,692,270 (2004 - Sh 113,757,948) which were fully depreciated. The normal depreciation charge on these assets would have been Sh 27,738,454 (2004 - Sh 18,283,563).

Buildings were revalued as at 31 December 2003 by independent valuers, Lloyd Masika Limited, Registered Valuers, on an open market value basis by reference to market evidence of recent transactions for similar properties.

At 31 December 2005, the net book value of buildings based on original cost was Sh 132,200,241 (2004 - Sh 135,597,161).

Notes to the Financial Statements

for the year ended 31 December 2005

22 OPERATING LEASE PREPAYMENTS – GROUP AND COMPANY

	Sh'000
COST	
At 1 January 2004 and 1 January 2005	10,000
AMORTISATION	
At 1 January 2004	1,500
Amortisation for the year	125
At 31 December 2004	1,625
At 1 January 2005	1,625
Amortisation for the year	125
At 31 December 2005	1,750
NET BOOK VALUE	
At 31 December 2005	8,250
At 31 December 2004	8,375

23 CUSTOMER DEPOSITS – GROUP AND COMPANY

	2005 Sh'000	2004 Sh'000
Current accounts	3,901,808	3,536,226
Savings accounts	1,434,632	1,227,647
Call deposits	1,167,200	409,627
Fixed deposits including accrued interest	10,071,758	7,330,511
	16,575,398	12,504,011
Analysis of customer deposits by maturity:		
Payable within 90 days	15,602,698	12,069,908
Payable after 90 days and within one year	921,854	368,018
Payable after one year	50,846	66,085
	16,575,398	12,504,011

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2005 was 5.45% (2004 - 3.64%).

The related party transactions and balances are covered under note 33 and concentrations of customer deposits is covered under note 31.

Notes to the Financial Statements

for the year ended 31 December 2005

24 OTHER LIABILITIES – GROUP AND COMPANY

	2005 Sh'000	2004 Sh'000
Bills payable	248,812	312,215
Other payables and accruals	123,419	200,225
Leave pay provision	1,860	1,860
	374,091	514,300
	=====	=====

25 LINES OF CREDIT

The bank has an unsecured revolving medium term line of credit of US\$ 5,000,000 with Agence Francaise De Development/PROPARCO for on-lending to customers. As at 31 December 2005, the draw down was US\$ 4,901,851 (2004 - US\$ 4,713,638).

The East African Development Bank loan which had a balance of US\$ 3,000,000 as at 31 December 2004 was repaid during the year.

	2005 Sh'000	2004 Sh'000
Maturity		
Payable within one year	85,380	58,868
Payable after one year and within three years	193,679	349,013
Payable after three years	75,345	193,763
	354,404	601,644
	=====	=====

The weighted average effective interest rate on the lines of credit at 31 December 2005 was 5.97% (2004 - 4.12%).

26 BALANCES DUE TO BANKING INSTITUTIONS – GROUP AND COMPANY

The weighted average effective interest rate for balances due to banking institutions at 31 December 2005 was 6.67% (2004 - 2.12%). All mature within 90 days of the balance sheet date.

27 SHARE CAPITAL – GROUP AND COMPANY

	2005 Sh'000	2004 Sh'000
Authorised, issued and fully paid		
82,414,551 ordinary shares of Sh 5 each	412,073	412,073
	=====	=====

Notes to the Financial Statements

for the year ended 31 December 2005

28 NOTES TO THE CASH FLOW STATEMENT

(a) Reconciliation of profit before taxation to cash generated from operations

	2005 Sh'000	2004 Sh'000
Profit before taxation	403,010	372,556
Adjustments for:		
Depreciation	69,350	61,126
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	22,826	15,472
Profit on sale of equipment	(3,046)	(2,421)
Profit before working capital changes	492,265	446,858
Increase in balances with Central Bank of Kenya (cash ratio requirement)	(324,844)	(244,859)
Increase in advances to customers	(2,586,043)	(4,645,037)
Decrease in treasury bonds	144,816	143,629
Increase in treasury bills maturing after 90 days	(582,134)	-
Decrease in other assets	43,246	(121,685)
Decrease in retirement benefit asset	3,935	10,303
Increase in customer deposits	4,071,387	4,552,775
(Increase)/decrease in other liabilities	(140,209)	218,441
(Decrease)/increase in lines of credit	(247,240)	534,479
Cash generated from operations	875,179	894,904
	=====	=====

(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes

Cash on hand	258,930	150,253
Balance with Central Bank of Kenya - other	371,748	205,308
Treasury bills	1,483,752	1,200,190
Deposits and balances due from banking institutions	1,404,975	1,408,061
Balances due to banking institutions	(528,529)	(351,575)
	2,990,876	2,612,237
	=====	=====

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

Notes to the Financial Statements

for the year ended 31 December 2005

29 CONTINGENCIES AND COMMITMENTS INCLUDING OFF BALANCE SHEET ITEMS

	2005 Sh'000	2004 Sh'000
(a) Contingent liabilities		
Letters of credit	566,125	1,150,954
Letters of guarantee and performance bonds	627,227	476,742
Other	284,633	192,916
	1,477,985	1,820,612
	=====	=====

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers.

Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

Concentrations of contingent liabilities is covered under note 31.

	2005 Sh'000	2004 Sh'000
(b) Capital commitments		
Authorised but not contracted for	260,176	109,070
	=====	=====
Authorised and contracted for	7,500	61,380
	=====	=====

The bank has authorised and contracted the refurbishment of a branch and a Move Zone.

(c) Commitments to extend credit

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation to extend credit by giving reasonable notice to the customer.

Notes to the Financial Statements

for the year ended 31 December 2005

(d) Operating lease arrangements

The group as a lessor

Rental income earned during the year was Sh 22,106,000 (2004 – Sh 23,589,000). At the balance sheet date, the group had contracted with tenants for the following future lease receivables:

	2005 Sh'000	2004 Sh'000
Within one year	20,024	24,204
In the second to fifth year inclusive	40,382	71,621
After five years	-	-
	60,406	95,825
	=====	=====

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

The group as a lessee

At the balance sheet date, the group had outstanding commitments under operating leases which fall due as follows:

	2005 Sh'000	2004 Sh'000
Within one year	24,450	16,962
In the second to fifth year inclusive	86,019	65,530
After five years	123	7,537
	110,592	90,029
	=====	=====

Operating lease payments represent rentals payable by the group for its office premises. Leases are negotiated for an average term of 6 years.

30 DERIVATIVE FINANCIAL INSTRUMENTS

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. The group transacts in foreign exchange forward contracts principally for the purpose of generating a profit from short term fluctuations in exchange rates. The contracts purchased are primarily denominated in the currencies of the bank's principal markets.

At the balance sheet date, the group did not have any outstanding forward contracts.

Notes to the Financial Statements

for the year ended 31 December 2005

31 CONCENTRATIONS OF ASSETS, LIABILITIES AND OFF BALANCE SHEET ITEMS

Details of significant concentrations of the group's assets, liabilities and off balance sheet items by industry groups are as detailed below:

(a) Advances to customers

	2005 Sh'000	%	2004 Sh'000	%
Wholesale and retail	956,101	6	906,700	7
Real estate	1,107,806	7	816,548	7
Business services	1,174,156	8	922,317	8
Agriculture	1,300,910	8	906,536	7
Social community and personal services	3,770,098	25	2,221,861	18
Manufacturing	2,630,205	17	1,799,982	15
Transport and communication	2,752,475	18	3,698,925	31
Other	1,754,187	11	856,086	7
	15,445,938	100	12,128,955	100
	=====	===	=====	===

(b) Customer deposits

Mortgage finance companies	350,000	2	150,473	1
Commercial banks	112,441	1	-	0
Non bank financial institutions	1,362,852	8	128,440	1
Co-operative societies	34,527	0	5,950	1
Insurance companies	2,339,315	14	1,058,193	8
Non profit institutions and individuals	5,996,065	36	5,388,966	43
Private enterprises	6,380,198	39	5,771,989	46
	16,575,398	100	12,504,011	100
	=====	===	=====	===

(c) Off balance sheet items (letters of credit and guarantees and forward contracts)

	2005 Sh'000	%	2004 Sh'000	%
Real estate	6,240	0	2,520	0
Social community and personal services	15,506	1	33,873	2
Agriculture	16,732	1	376,853	21
Business services	97,691	7	17,106	1
Wholesale and retail	135,061	9	47,923	2
Transport and communication	247,834	17	488,056	27
Other	440,526	30	254,324	14
Manufacturing	518,395	35	599,957	33
	1,477,985	100	1,820,612	100
	=====	===	=====	===

Notes to the Financial Statements

for the year ended 31 December 2005

32 RETIREMENT BENEFIT OBLIGATIONS

(a) Retirement benefit asset

The company operated a funded defined benefit plan for substantially all employees. The Scheme is established under trust. The Scheme assets are invested in Government securities (treasury bills and bonds), quoted equities, fixed deposits and cash.

A new defined contribution scheme is being established with effect from 1 January 2006. All members have consented to the transfer of their accrued benefit obligations on 31 December 2005.

The details of the group's obligation in respect of the defined retirement benefit Scheme are as follows:

	2005 Sh'000	2004 Sh'000
Present value of funded obligations	(128,248)	(105,867)
"Fair" value of Scheme assets	128,248	109,439
Unrecognised actuarial gain/(loss)	-	363
Net asset in the balance sheet	-	3,935
	=====	=====

Amounts recognised in income in respect of the scheme are as follows:

Current service cost net of employees' contributions	13,640	12,003
Interest on obligation	10,877	7,640
Expected return on plan assets	(11,263)	(9,340)
Past service cost	6,070	-
Losses/(gains) on curtailments and settlements	(1,160)	-
Total included in staff costs in respect of Scheme	18,164	10,303
	=====	=====

Movements in the net asset in the current period were as follows:

At 1 January	(3,935)	14,238
Net expense recognised in the income statement	18,164	(10,303)
Employee contributions	(14,229)	-
At 31 December	-	3,935
	=====	=====

Key assumptions used:

	2005 %	2004 %
Discount rate	10.0	10.0
Expected return on Scheme assets	10.0	10.0
Future salary increases	8.0	8.0

Notes to the Financial Statements

for the year ended 31 December 2005

32 RETIREMENT BENEFIT OBLIGATIONS (Continued)

(b) Service gratuity

Staff hired on contract are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

	2005	2004
	Sh'000	Sh'000
Fair value at 1 January	21,318	10,921
Income statement charge	26,187	29,151
Paid during the year	(26,420)	(18,754)
Fair value at 31 December	21,085	21,318
	=====	=====

	Valuation at	
	2005	2004
Key assumptions used:		
Discount rate	10%	10%
Expected rate of salary increases	0%	0%

Notes to the Financial Statements

for the year ended 31 December 2005

33 RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placings are made in the bank by directors, their associates and companies associated to directors. Advances to customers at 31 December 2005 include advances and loans to companies associated to directors. Contingent liabilities at 31 December 2005 include guarantees and letters of credit for companies associated to directors.

All transactions with related parties are at arm's length in the normal course of business, and on terms and conditions similar to those applicable to other customers.

	Directors Associated companies		Employees / staff	
	2005 Sh'000	2004 Sh'000	2005 Sh'000	2004 Sh'000
Movement in related party balances was as follows:				
Loans and advances:				
At 1 January	146,146	223,899	157,615	120,182
Net movement during the year	138,230	(77,753)	42,700	37,433
At 31 December	284,376	146,146	200,315	157,615
	=====	=====	=====	=====
Interest earned	14,105	7,135	13,253	6,988
	=====	=====	=====	=====

These loans and advances are performing and are adequately secured.

	Directors Associated companies		Employees/staff	
	2005 Sh'000	2004 Sh'000	2005 Sh'000	2004 Sh'000
Deposits:				
At 1 January	2,389,411	2,039,834	16,756	19,385
Net movement during the year	269,298	349,577	8,036	(2,628)
At 31 December	2,658,709	2,389,411	24,792	16,757
	=====	=====	=====	=====
Interest paid	134,633	42,957	2,208	231
	=====	=====	=====	=====

Notes to the Financial Statements

for the year ended 31 December 2005

33 RELATED PARTY TRANSACTIONS (Continued)

	2005 Sh	2004 Sh
Guarantees and letters of credit to Companies associated to directors	40,095 =====	65,890 =====

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2005 Sh	2004 Sh
Salaries and other benefits	83,291 =====	63,454 =====
Directors' remuneration		
Fees for services as directors	6,210	5,235
Other emoluments (included in key management compensation above)	50,234 -----	37,261 -----
	56,444 =====	42,496 =====

Notes to the Financial Statements

for the year ended 31 December 2005

34 LIQUIDITY RISK

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2005 to the contractual maturity date.

LIQUIDITY RISK

ASSETS

	Up to 1 month Sh'000	1 to 3 months Sh'000	4 to 6 months Sh'000	6 to 12 months Sh'000	1 to 3 years Sh'000	4 to 5 years Sh'000	over 5 years Sh'000	Total Sh'000
Cash and balances with Central Bank of Kenya	1,389,134	201,560	14,079	6,567	1,139	-	-	1,612,479
Government securities	904,496	825,413	692,015	-	50,863	-	-	2,472,787
Deposits and balances due from banking institutions	1,404,975	-	-	-	-	-	-	1,404,975
Advances to customers	1,253,326	888,241	1,442,156	1,591,766	5,368,907	2,551,098	1,031,744	14,127,238
Other debtors and prepayments	325,774	-	-	-	-	-	-	325,774
Taxation recoverable	-	6,968	-	-	-	-	-	6,968
Deferred tax asset	-	-	-	-	-	-	17,412	17,412
Property and equipment	-	-	-	-	-	-	528,731	528,731
Intangible assets	-	-	-	-	-	-	80,618	80,618
Prepaid Operating Rental	-	-	-	125	375	250	7,500	8,250
Total Assets	5,277,705	1,922,182	2,148,250	1,598,458	5,421,284	2,551,348	1,666,005	20,585,232

LIABILITIES AND SHAREHOLDERS' FUNDS

Customers deposits	6,520,317	9,082,381	628,618	293,236	50,846	-	-	16,575,398
Line of credit	-	41,532	5,784	38,064	193,679	75,345	-	354,404
Other liabilities	374,091	-	-	-	-	-	-	374,091
Balances due to banking institutions	528,529	-	-	-	-	-	-	528,529
Unclaimed dividends	30,990	-	-	-	-	-	-	30,990
Shareholder's funds	-	-	-	-	-	-	2,721,820	2,721,820
Total liabilities and shareholders funds	7,453,927	9,123,913	634,402	331,300	244,525	75,345	2,721,820	20,585,232
Net liquidity gap	(2,176,222)	(7,201,731)	1,513,848	1,267,158	5,176,759	2,476,003	(1,055,815)	-
At 31 December 2004								
Total assets	4,479,945	1,504,541	732,108	1,549,573	5,556,715	1,453,292	1,367,319	16,643,493
Total liabilities and shareholders' funds	6,073,028	6,896,742	118,113	201,565	467,404	242,674	2,643,967	16,643,493
Net liquidity gap	(1,593,083)	(5,392,201)	613,995	1,348,008	5,089,311	1,210,618	(1,276,648)	-

Notes to the Financial Statements

for the year ended 31 December 2005

35 INTEREST RATE RISK

The group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risk. Included in the table are the group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The group does not bear an interest rate risk on off balance sheet items.

INTEREST RATE RISK	Up to 1 month Sh'ooo	1 to 3 months Sh'ooo	4 to 6 months Sh'ooo	7 to 12 months Sh'ooo	1 to 3 years Sh'ooo	Over 3 years Sh'ooo	Non-interest bearing Sh'ooo	Total Sh'ooo
ASSETS								
Cash and balances with Central Bank of Kenya	-	-	-	-	-	-	1,612,479	1,612,479
Government securities	904,496	825,413	692,015	-	50,863	-	-	2,472,787
Deposits and balances due from banking institutions	1,404,975	-	-	-	-	-	-	1,404,975
Advances to customers	1,253,326	888,241	1,442,156	1,591,766	5,368,907	3,582,842	-	14,127,238
Other debtors and prepayments	-	-	-	-	-	-	325,774	325,774
Taxation recoverable	-	-	-	-	-	-	6,968	6,968
Deferred tax asset	-	-	-	-	-	-	17,412	17,412
Property and equipment	-	-	-	-	-	-	528,731	528,731
Intangible assets	-	-	-	-	-	-	80,618	80,618
Prepaid Operating Rentals	-	-	-	-	-	-	8,250	8,250
Total Assets	3,562,797	1,713,654	2,134,171	1,591,766	5,419,770	3,582,842	2,580,232	20,585,232
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customers deposits	6,520,317	9,082,381	628,618	293,236	50,846	-	-	16,575,398
Line of credit	-	41,532	5,784	38,064	193,679	75,345	-	354,404
Other liabilities	-	-	-	-	-	-	374,091	374,091
Balances due to banking institutions	528,529	-	-	-	-	-	-	528,529
Unclaimed dividends	-	-	-	-	-	-	30,990	30,990
Shareholder's funds	-	-	-	-	-	-	2,721,820	2,721,820
Total liabilities and shareholders funds	7,048,846	9,123,913	634,402	331,300	244,525	75,345	3,126,901	20,585,232
Net Interest Sensitivity gap	(3,486,049)	(7,410,259)	1,499,769	1,260,466	5,175,245	3,507,497	(546,669)	-
At 31 December 2004								
Total assets	3,479,767	1,142,146	726,550	1,540,719	5,551,215	2,260,766	1,942,330	16,643,493
Total liabilities and shareholders' funds	5,530,732	6,896,743	118,113	201,565	467,404	242,673	3,186,263	16,643,493
Interest rate sensitivity gap	(2,050,965)	(5,754,597)	608,437	1,339,154	5,083,811	2,018,093	(1,243,933)	-

Notes to the Financial Statements

for the year ended 31 December 2005

36 CURRENCY RISK

The group operates wholly within Kenya and its assets and liabilities are reported in the local currency.

The group's currency risk is managed within the Central Bank of Kenya exposure guideline of 20% core capital. The group's management monitors foreign currency exposure on a daily basis.

The group's currency position is as follows:

ASSETS	KES Sh'ooo	GBP Sh'ooo	USD Sh'ooo	EURO Sh'ooo	OTHERS Sh'ooo	TOTAL Sh'ooo
Cash and balances with Central Bank of Kenya	1,484,512	5,527	96,710	25,637	93	1,612,479
Government securities	2,472,787				-	2,472,787
Deposits and balances due from banking institutions	173,616	441,207	90,430	657,073	42,649	1,404,975
Advances to customers	11,591,688	72	2,290,784	244,694		14,127,238
Other debtors and prepayments	165,938	23,200	111,396	21,003	4,237	325,774
Taxation recoverable	6,968	-	-	-	-	6,968
Deferred tax asset	17,412	-	-	-	-	17,412
Property and equipment	534,176	-	-	-	-	528,731
Prepaid operating rental	8,250	-	-	-	-	8,250
Intangible assets	75,173	-	-	-	-	80,618
Total Assets	16,530,520	470,006	2,589,320	948,407	46,979	20,585,232
LIABILITIES AND SHAREHOLDERS' FUNDS						
Customers deposits	13,236,214	441,713	2,295,003	602,359	109	16,575,398
Line of credit	-	-	155,300	199,104	-	354,404
Other liabilities	348,013	2,392	22,096	1,590	-	374,091
Balances due to banking institutions	528,529	-	-	-	-	528,529
Unclaimed dividends	30,990	-	-	-	-	30,990
Shareholder's funds	2,721,820	-	-	-	-	2,721,820
Total liabilities and shareholders funds	16,865,586	444,105	2,472,399	803,053	109	20,585,232
NET BALANCE SHEET POSITION	(335,046)	25,901	116,921	145,354	46,870	-

Notes to the Financial Statements

for the year ended 31 December 2005

37 RISK MANAGEMENT POLICIES

The group's financial risk management objectives and policies are as outlined below:

Credit risk

The group's credit risk covers the rules on extension of loans and advances to its customers. The amounts presented in the balance sheet are net of allowances for doubtful debts, estimated by the group's management based on prior experience and their assessment of the current economic environment.

The group structures the level of credit risk it undertakes by placing limits on amounts of risk accepted in relation to one borrower or a group of borrowers. Such risks are monitored on a regular basis and are subject to annual or more frequent review.

Exposure to credit risk is managed through regular analysis of the ability of borrowers to meet interest and capital repayment obligations and by taking remedial action where appropriate. Exposure to credit risk is also mitigated in part by obtaining collateral and corporate guarantees, though ability to pay is the primary consideration.

The group has no significant concentration of credit risk in any one sector, as exposure is spread over a diversity of personal and commercial customers as set out in note 31.

Interest rate risk

The group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rate. Interest rates on advances to customers and other risk assets are either pegged to the bank's base lending rate or treasury bill rate. The base rate is adjusted from time to time to reflect the cost of deposits. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. The group also invests in fixed interest rate instruments issued by the Central bank of Kenya.

Interest rate on customer deposits are negotiated between the bank and the customer. The bank has the discretion to change the rates in line with changes in market trends.

These measures minimise the group's exposure to interest rate risk.

Liquidity risk

The group is exposed to the risk that the group will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk is addressed through the following measures:

- The bank enters into lending contracts subject to availability of funds.
- The bank has an aggressive strategy aimed at increasing the customer deposit base.
- The bank borrows from the market through inter bank transactions with other banks, pension funds and insurance companies for short term liquidity requirements.
- The bank invests in short term liquid instruments which can easily be sold in the market when the need arises.
- Investments in property and equipment are properly budgeted for and done when the group has sufficient cash flows.

Notes to the Financial Statements

for the year ended 31 December 2005

37 RISK MANAGEMENT POLICIES (Continued)

Currency risk

The group is exposed to the risk that the value of the financial instruments will fluctuate due to changes in foreign exchange rates. Forex exposure limits are reviewed and approved by the board. The board, through the assets and liability committee ensures that the foreign exchange risk policy is adhered to and any deviations are reported for appropriate action.

Operational Risk

The group is exposed to operational risk which is associated with human error, system failures and inadequate procedures and controls. The group ensures that there is an effective, integrated operational risk management framework that incorporates a clearly defined organizational structure, with defined roles and responsibilities for all aspects of operational risk management/monitoring and appropriate tools that support the identification, assessment, control and reporting of key risks. The policy includes-

- The structure of operational risk management function;
- The roles and responsibilities of individuals involved and
- Systems and procedures for effective operational risk management

38 ASSETS PLEDGED AS SECURITY

As at 31 December 2005, there were no assets pledged by the group to secure liabilities and there were no secured group liabilities.

39 FAIR VALUE

The directors consider that there is no material difference between the fair value and carrying value of the group's financial assets and liabilities where fair value details have not been presented.

40 FIDUCIARY ACTIVITIES

The bank holds asset security documents on behalf of customers with a value of Sh 7,628,452,528 (2004 -Sh 4,967,294,643). Most of these securities are held by the custody services department. The assets held comprise deposits with financial institutions, government securities and quoted and unquoted securities.

41 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act.

42 CURRENCY

The individual financial statements of each group entity are presented in the currency of the primary economic environment in which the entity operates (its functional currency). For the purpose of the consolidated financial statements, the results and financial position of each entity are presented in Kenya Shillings thousands (Sh'ooo), which is the functional currency of the group, and the presentation currency for the consolidated financial statements.

PROXY FORM

WAKALA

The Secretary,
NIC Bank Limited,
NIC House,
Masaba Road,
P.O. Box 44599,
00100, Nairobi

Proxy

I/We _____
of _____
being a member/members of NIC Bank Limited and entitled to

_____ votes hereby appoint _____
of _____
or failing him _____
of _____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General meeting of the company to be held on 17th May 2006 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2006

Signature(s) of

Note: In case of a Corporation, the Proxy must be made under its Common Seal.

Katibu,
NIC Bank Limited,
NIC House,
Masaba Road,
P.O. Box 44599,
00100, Nairobi

Wakala

Mimi/Sisi _____
wa anuani hii _____
nikiwa mwanachama/tukiwa wanachama wa NIC Bank Limited na
nikiwa/tukiwa na haki ya kura _____
namchagua/tunamchagua _____
wa sanduku la posta _____
na akiwa hatapata nafasi nimechagua/tumechagua _____
wa sanduku la posta _____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano wa
Mwakawa Kampuni utakaofanyika tarehe 17 Mei 2006 au tarehe yoyote iwapo mkutano utahairishwa.
Nashuhudia twashuhudia kwa mkono/mikono wangu/yetu siku hii ya

tarehe _____ mwezi wa _____ 2006

Sahihi

ELEWA: Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa
kampuni hiyo (common seal)